



# CFA Institute

## CFA Institute Research Challenge

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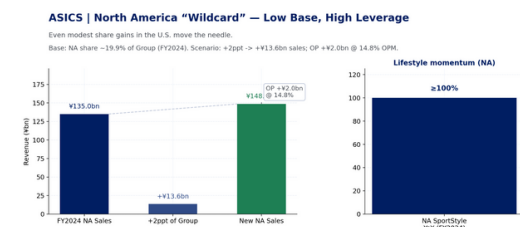
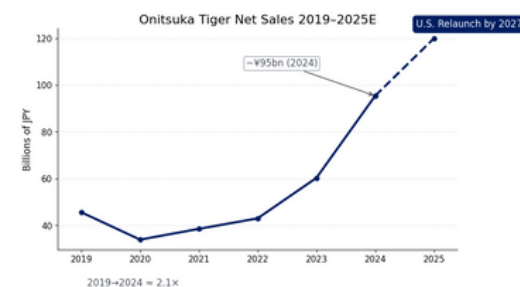
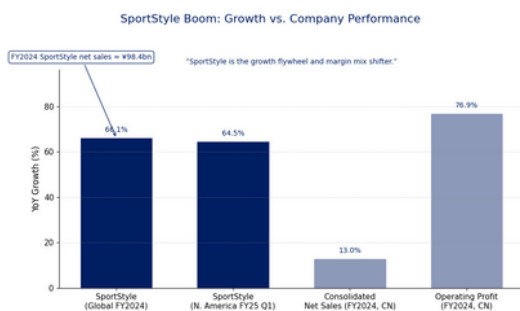
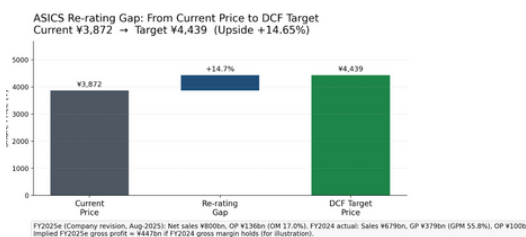
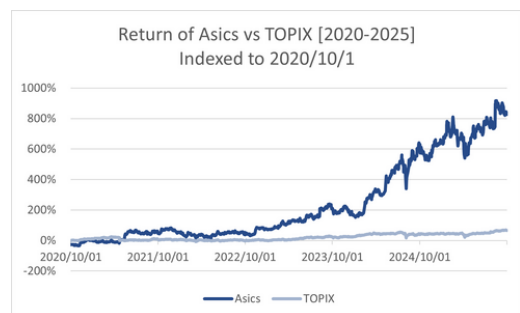
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## INVESTMENT SUMMARY

| RECCMMENDATION     | BUY       |
|--------------------|-----------|
| Valuation Date     | 2025/9/30 |
| Target Price       | ¥4,423    |
| Current Price      | ¥3,872    |
| Upside             | 14.23%    |
| Shares Outstanding | 724mil    |
| 52 Week High       | ¥4,289    |
| 52 Week Average    | ¥3,342    |
| 52 Week Low        | ¥2,424    |



This is a contrarian Buy call on Asics with a ¥4,439 target price (+14.7% upside), predicated on the market mispricing a transformation in progress. The market still views Asics as a staid Japanese running-shoe maker, but Asics has reinvented itself into a global athletic and lifestyle footwear powerhouse. The company is capitalizing on a sneaker culture boom and strategic refocus to deliver record sales growth and earnings, yet its stock valuation lags this reality. While bigger rivals stumble and skeptics fixate on old narratives ("Japan-centric, maxed-out, weak in the US"), Asics is quietly proving them wrong. Now is the time to step in – before the Street catches up to Asics's brand resurgence, global expansion, and margin revival that underpin our bullish view.

### BRAND RENAISSANCE IGNITES NEW GROWTH

**A) Lifestyle Sneakers Drive Record Sales:** Asics has tapped into the global "sneaker culture" wave with huge success. Its SportStyle lineup – retro-inspired running shoes worn as everyday fashion – has exploded in popularity. In 2024, sportstyle sneaker revenue surged over 50% (to nearly ¥100 billion) and more than doubled in North America, far outpacing the core performance line. This craze for Asics's stylish "dad shoes" propelled overall sales to a record ¥678.5 billion (up 13% YoY) and drove operating profit up 77%. Once known mainly among serious runners, Asics is now a hot brand for young, fashion-conscious consumers – a dramatic brand renaissance that the market has yet to fully price in.

**B) Nike's Slip, Asics's Gain:** A cultural shift in athletic footwear is underway: Nike's long-held "cool factor" has faded, and Asics is seizing the moment. In 2024, Nike's sales and profits slumped while Asics hit all-time highs – evidence that Nike's woes are brand-specific, not an industry downturn. From Tokyo to New York, trendsetting consumers are swapping out Swooshes for Asics stripes. Iconic Asics models like the GEL-Kayano, once niche running shoes, have become streetwear hits among urban youth. In Europe, Asics's "Y2K" running-style sneakers sparked a nearly 40% jump in fashion sneaker sales. Tastes have shifted – and Asics's credibility in performance plus fresh cachet in style make it a prime beneficiary. We believe investors haven't yet appreciated the extent to which Asics is stealing mindshare (and market share) in this post-Nike era.

**C) Onitsuka Tiger-The Hidden Gem:** Inside Asics's portfolio lies a luxury sneaker juggernaut that many overlook. Onitsuka Tiger – originally a heritage line – has been reborn as a premium fashion brand and is delivering spectacular growth. Tiger's sales reached ~¥95 billion in 2024 (about double five years ago) as management doubled down on exclusive branding and direct-to-consumer (90% of Tiger sales) distribution. This strategy paid off: Tiger's gross margin has vaulted into the mid-70% range (up from ~59% in 2019), making it the most profitable segment in the company. In effect, Asics now houses a high-margin luxury sneaker business within its broader athletics empire. And the momentum is just getting started: Tiger is on track for ¥120 billion in sales in FY2025, with new flagship stores driving its cachet in fashion capitals. Plans are underway to re-launch Onitsuka Tiger in the U.S. by 2027, leveraging its "Japan luxe" appeal. This hidden gem is a powerful growth engine and valuation booster that is not yet fully reflected in the stock.

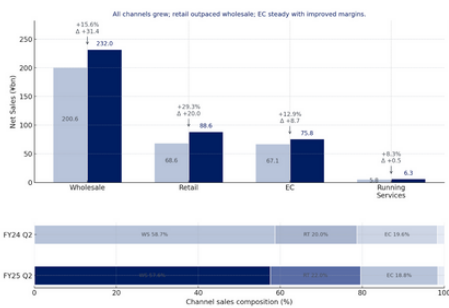
### UNDERESTIMATED PERFORMANCE AND GLOBAL REACH

**A) Earnings Soar, Valuation Lags:** Asics's financial performance has never been stronger, yet the market hasn't caught up. Last year's net profit hit a record ¥63.8 billion (+71% YoY) on the back of booming sales and improving margins. Management's initial guidance for 2025 was for another ~22% jump in the bottom line – a forecast they've already raised as momentum continues. In August 2025, Asics hiked its revenue and profit outlook to new highs (for example, boosting operating profit target to ¥136 billion, +36% YoY). Despite this earnings tear, the stock trades as if it's still running in place. Valuation multiples and even the stock's volatility imply skepticism about sustainability. Yet this cautious view persists despite Asics now returning roughly 50% of earnings to shareholders and fortifying its balance sheet – signals that its risk profile is stronger than the market perceives. We see a disconnect: Asics's fundamentals are rising fast while its valuation is stuck in the past. As the company continues to beat expectations, we anticipate not only earnings upgrades but also a re-rating of the stock to higher multiples in line with its peers.

**B) Growth Firing Across Regions:** A common bear narrative – that Asics has "maxed out" in Japan and lacks growth markets – is outdated. Over 80% of Asics's sales now come from outside Japan, and virtually all regions are delivering robust growth. Europe posted record revenue in 2024 (over ¥175 billion, +13%), Greater China and Southeast Asia each saw 20%+ sales growth, and even Japan surprised with a 34% surge thanks to a post-pandemic running boom. Asics has cultivated a geographically diversified engine: Japan and Europe provide stable cash flow foundations, while China, other Asian markets, and beyond are newer growth frontiers. This global footprint makes Asics less dependent on any single country. It also means the brand's appeal travels well – from marathon runners in London to sneakerheads in Shanghai. The market still pegs Asics as a Japan-centric player, but in reality Asics is a global challenger taking share in multiple regions. This diversified growth profile reduces risk and warrants a higher valuation than the market is assigning.

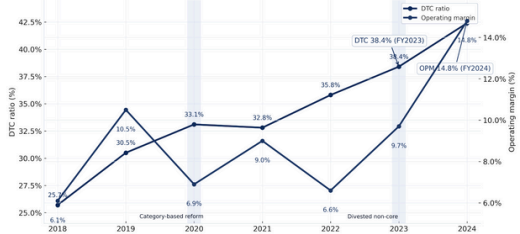
**C) North America: Low-Base, High Potential:** Nowhere is the upside more underappreciated than in the United States. Historically, North America has been Asics's toughest market – but that is finally changing. Asics's North America sales are still only ~8% of its total (versus ~40% for Nike), meaning any traction here can move the needle significantly. And traction is exactly what we're seeing: last year, U.S. revenue jumped at a double-digit pace, fueled by a more focused strategy.

ASICS | Channel Net Sales (FY24 Q2 vs FY25 Q2)

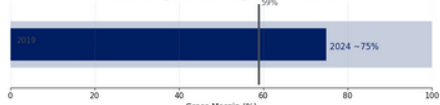


#### DTC-driven Structural Margin Expansion

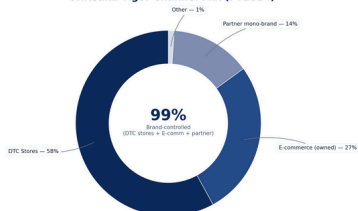
Quality of sales (not just quantity) is expanding margins structurally.



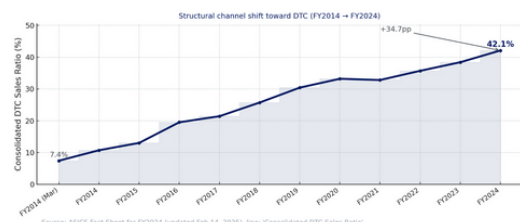
#### Onitsuka Tiger Gross Margin: 2019 vs 2024



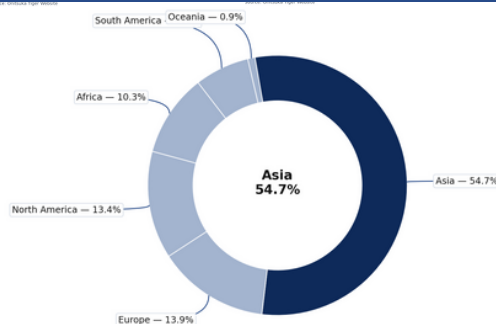
#### Onitsuka Tiger Channel Mix (FY2024)



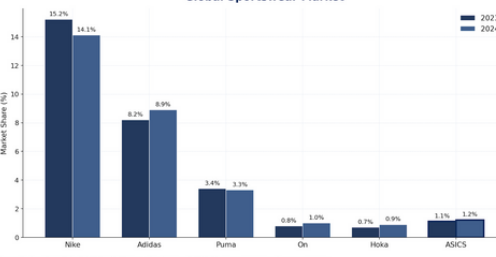
#### ASICS | Consolidated DTC Sales Ratio



## BUSINESS DESCRIPTION



#### Change in Market Share by Brand (2023 ~ 2024)



Instead of trying to outspend Nike on big endorsements, Asics is building grassroots credibility – sponsoring top athletes (like tennis World #1 Novak Djokovic), outfitting Olympic teams, and, crucially, winning over U.S. sneaker enthusiasts through its trendy sportstyle line. In fact, Asics's lifestyle sneakers more than doubled sales in North America in 2024, a clear sign that the brand is finding a backdoor into Americans' closets. The push to limit discounting and elevate the brand image in the U.S. is also improving profitability. We view North America as a "wildcard" catalyst: even modest market share gains in the world's largest athletic market would surprise the Street and unlock outsized growth. With a tiny share of a huge market and a refined game plan, Asics has a long runway in North America that investors are largely ignoring.

## FOCUSED STRATEGY UNLOCKS VALUE

**A) Category Focus & Discipline Pay Off:** Asics's internal transformation is a key part of the story. In 2019, the company overhauled its management structure – shifting from a traditional functional organization to a category-based model. Each product category (Running, SportStyle, etc.) now has dedicated leadership and P&L accountability, which sharpened execution and eliminated silos. The results have been impressive: excluding the pandemic dip, sales have climbed steadily and are roughly double 2018 levels – a testament to better focus and agility. At the same time, management has shown uncharacteristic discipline (especially for a Japanese firm) in pruning distractions. In late 2023, Asics sold off a non-core outdoor gear subsidiary (Haglöfs) to concentrate resources on its core segments. It is also exiting low-return product lines like baseball equipment. These tough calls – cutting loose legacy baggage and doubling down on what works – are paying dividends in growth and efficiency. Asics today is a leaner, more focused company that can channel investments into the highest-return areas, bolstering our confidence in its mid-term targets.

**B) Agile Innovation Restores Edge:** In the sports footwear industry, standing still means falling behind – and a few years ago Asics risked doing just that. When Nike leapt ahead with carbon-plated "super shoes," Asics initially lagged. But under CEO Yasuhiro Hirota, the company responded decisively: ramping up R&D and launching the METASPEED racing shoe series, with a bold pledge to develop "the world's fastest shoes". This agility in innovation has rejuvenated Asics's competitive edge among athletes. The brand's performance credibility is now back on track, complementing its newfound fashion appeal. Moreover, Asics's tech heritage (e.g. proprietary GEL cushioning and FLYTEFOAM midsoles) continues to resonate with core runners who demand quality. Management's willingness to invest in innovation – while some rivals pull back – ensures Asics keeps delighting serious runners and tech-savvy sneaker fans alike. By closing the innovation gap, Asics protects its core franchise and keeps its brand heat on high, which bodes well for sustained pricing power and market share.

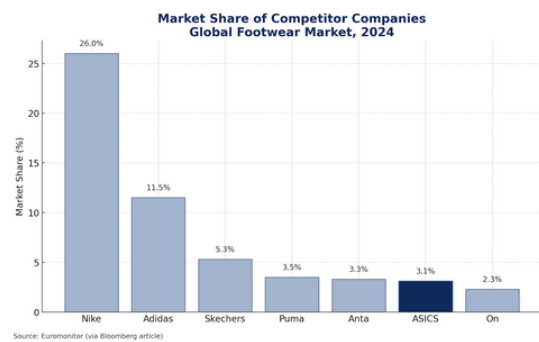
**C) Direct-to-Consumer Boosts Margins:** Another game-changer for Asics is its pivot to direct sales and premium retail experiences. The company has been aggressively growing its DTC channels – own e-commerce and mono-brand stores – to deepen customer engagement and avoid heavy discounting. In Onitsuka Tiger, for example, roughly 90% of sales are through company-controlled stores or online, enabling tight brand control and luxury pricing. Globally, Asics is rolling out flagship stores (especially in fashion hubs) that not only showcase its products but also offer services like gait analysis for runners, enhancing the customer-experience. The upshot: DTC sales now account for a rising share of revenue, lifting gross margins and strengthening brand equity. Even in North America, Asics has pulled back from off-price channels to protect its premium image. In fact, operating margin climbed to ~15% in 2024 (from single-digit levels a few years ago), reflecting this richer sales mix. This strategic channel shift is driving structural margin expansion and gives Asics more direct insight into consumer trends. It also helps create a loyal community via the OneAsics membership program and running clubs connected to the brand. In short, Asics's emphasis on quality of sales (not just quantity) is boosting profitability and building a stickier customer base. As this high-margin, direct-first approach continues, we expect further margin accretion that supports our valuation and differentiates Asics from less disciplined rivals.

Originally founded as Onitsuka Corporation, Asics is a sports apparel and footwear company founded in 1949. While Asics is a Japanese company with a majority of its leaders being Japanese, operations are globally expansive which is reflective in how 80% of sales come from outside of Japan.

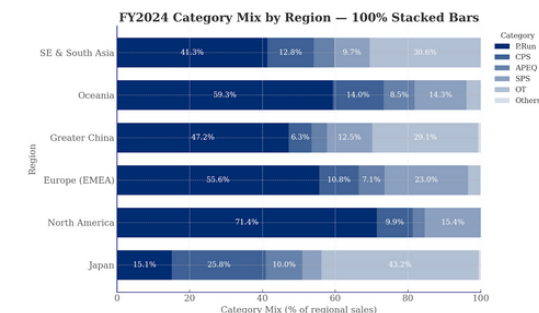
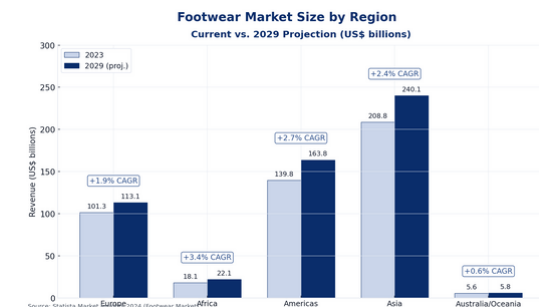
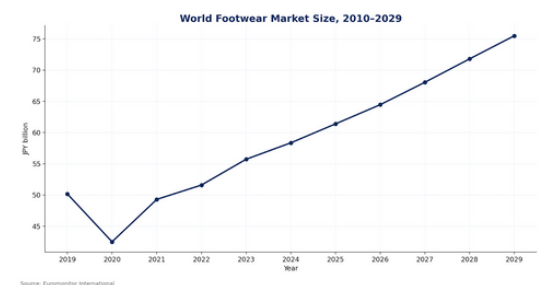
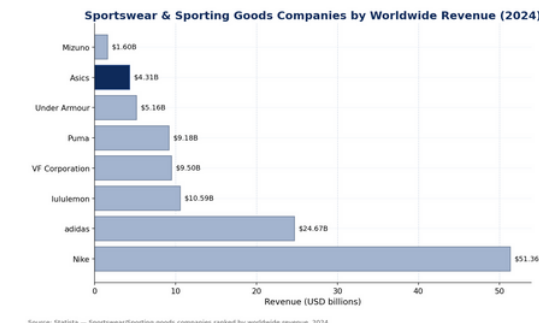
### Management Restructuring: Increasing efficiency of operations

In 2019, as part of their plans to increase sales and operating profit, Asics underwent a large management restructure where they switched to a category-based management style, making operations more efficient and allowing them to achieve their global initiatives. Under this management the value chain operations are separated based on the product category, with an executive officer in charge of each category, making operations more efficient. Prior to 2019, with management based on a functional basis, dividing responsibilities based on operations such as production, marketing, and sales, overall efficiency remained low often with miscommunications between operations leading to their inability to maximize their strengths to achieve growth targets. The restructuring has proved to be successful as excluding 2020, Asics has been experiencing a steady growth of sales, doubling their sales from 2018 in 2024. **Core operations and segments: Category based operations**

Asics has 5 categories in which operations are separated into: (1) Performance Running, (2) Core Performance Shoes, (3) Sportstyle, (4) Apparel and Equipment, (5) Onitsuka Tiger. Through the variation of sportswear and footwear products, Asics satisfies various market segments, high-level athletic running, sports footwear excluding running, and lifestyle daily footwear. The categories driving their growth are Sportstyle and Onitsuka Tiger, both categories make up 14% of the total net sales, totaling 28% together. Aside from the apparel and footwear products, Asics offers in store services such as gait analysis where customers can purchase shoes suitable for their foot type,



## INDUSTRY OVERVIEW



## COMPETITIVE POSITIONING

and access digital services through their fitness app, the Runkeeper app, and premium app Runkeeper Go. Additionally, discounting services are offered through their free membership program OneAsics. **Business Model:**

Asics' revenue streams come from various categories, while mostly from the performance running category which accounted for 48% of revenue in 2024, the next largest contributions are from sport-style, their lifestyle line, and Onitsuka Tiger. Asics' core strategy is utilizing direct to consumer (DTC) distribution channels, in order to exercise brand control and luxury image by avoiding discounted prices, especially for Onitsuka Tiger where DTC accounts for 90% of operations. In the 2000s, when Asics began to expand globally, one strategy they have maintained since then is opening flagship stores. Especially for Onitsuka Tiger, Asics has been focusing efforts on expanding their brand image in Europe through the new openings of flagship stores, also as a part of their efforts to communicate a luxury brand image.

### Highly Competitive Market

The footwear market is a highly competitive industry, with a fast-paced nature as a result of changing consumer demands and intense competition. The US leads the running shoe market in terms of volume and per-capita, with a projected growth from \$22.3 billion (2023) to \$30.6 billion (2026) (Statista), signifying a potential opportunity for Asics to benefit from this expected growth. The fast-paced competitive nature can be seen in how Nike is beginning to lose market shares in sportswear, from 15.2% (2023) to 14.1% in 2024, while new competitors such as HOKA and On are gaining increased market share (Reuters). The consumer demand has grown within the sports apparel and footwear market due to increased interest in health and fitness during the 2020 pandemic with now established access to virtual fitness content integrated into the daily lives of people who may have not gone to the gym before then (Bloomberg). With this new group of potential consumers gaining access to fitness, companies are pressured to have expansive product lines that match with competitor companies. This indicates major opportunities for Asics which have been strengthening their sportstyle lines and already have strong athletic footwear lines under core performance. **Moderate Threat of New Entrants**

### Threat of New Entrants

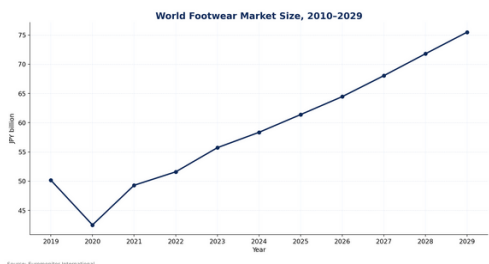
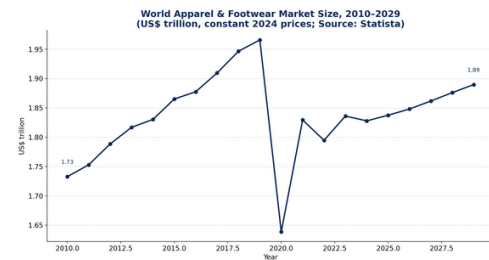
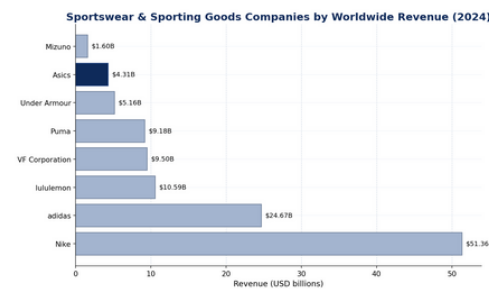
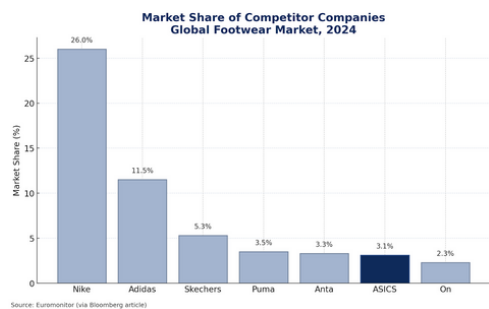
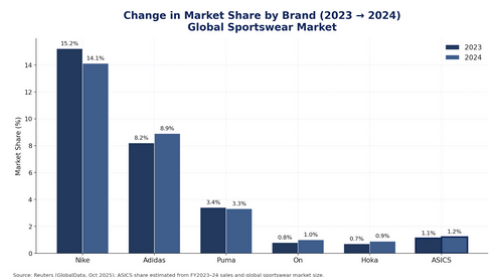
Traditionally new entrants have been low in the apparel and footwear industry, with the strong dominance of competitor companies such as Nike which holds around 26.0% of market share and Adidas 11.5% in 2024 (Bloomberg). High R&D costs, connections to large scale manufacturing facilities, the need for multiple shoe lines and models, ability to collaborate with the sports industry such as key athletes to promote their products, are some of the entry barriers that have made it difficult for new competitors to enter the market. However, in recent years the growth of HOKA and On, which are newer companies compared to Asics and Nike, having been established in the 2010s, have challenged this notion (see Appendix \_\_ showing growth of these companies). This level of threat is positive for Asics in the markets where they are already established in such as Asia, and is negative for markets that Asics is trying to penetrate, such as North America. **Expansive Consumer Demand for Products: expansion into luxury and lifestyle**

While consumers value innovation and technologically advanced products that have high quality, lifestyle and fashionable footwear is also under high demand, especially through the trend of less specialized sportswear, known as athleisure combining both comfort and style. The consumers that are targeted through athleisure can be considered the middle segment of the market, and will tend to be more susceptible to changes in pricing, making the risk of consumers switching footwear companies high with less of a loyal customer base (Porter's five forces). However, with many countries facing an aging population, a further increase in demand for lifestyle shoes that have supportive soles and structures based on athletic shoes can be forecasted, demonstrating the importance of brands strengthening this aspect of their product line. As a way to meet the expanding demands of consumers, companies use the strategy of consolidation, holding multiple sub-brands, seen in Deckers' HOKA, Nike's Converse brand, and Asics' Onitsuka Tiger. **Production and supply chain**

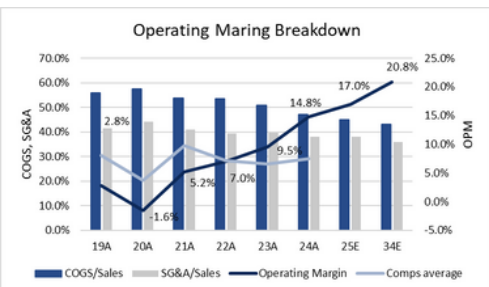
The production of footwear is predominantly located in Asia, specifically Southeast Asia, with many competitor companies moving away from sourcing labor from China to Vietnam due to rising labor costs (refer to appendix with supplier details). Competitors including Nike, Adidas and Puma along with Asics rely on third-party suppliers that are in charge of sourcing and manufacturing of footwear which grants companies with more flexibility in terms of switching sourcing while also making quality control internal systems important to ensure the quality of products. For example, Asics has an auditing system in place by sending employees overseas to monitor their supply chain, which plays a large role in maintaining their premium brand image. Competitors (eg. Nike) use some of the same manufacturing companies (eg. Yue Yuen Industry, manufacturing company based in Hong Kong, also used by Asics), which means that tariff or labor risks are commonly felt across different companies in the industry because of similar supply chains.

### Specialization in running:

Asics has a strong foundation of being able to produce high quality products for the running sports category, supported by their research centers and patented technology, making this category their core strength. They have a strong positioning because the running market is less prone to the fast-paced product and trend cycle that fashion products are subject to. In most regions, excluding



## FINANCIAL ANALYSIS



Japan, Performance Running makes up 45.9% 66.9% of net sales, a high percentage especially in North America and Europe in 2025 (IR meeting). As a result of the restructuring of management in 2019, Asics has protected its competitive position in the running footwear market through participating in races by sponsoring them, research collaborations with athletes (C-project), and halt activities that are not adding value, such as discontinuing their baseball line. Asics' dedication to running can be seen in the establishment of the "running ecosystem" through the integration of digital platforms. They address the needs of runners through their acquired race registration apps, allowing Asics to have contact with a potential customer at a time before the race. Runners tend to purchase 3 pairs of shoes per year and oftentimes re-purchase the same model from the same brand (Running USA Survey), thus Asics is attempting to target this purchasing behavior though having a direct touch point with runners in their registration apps. Asics' strong positioning in the running footwear market is especially strong because the running market is less prone to the fast paced cycle. **Innovation fuels production of high-quality products:**

Asics' patented technology and research centers are the foundation of their innovative products. Asics has around 1,800 IPs, including key technology such as GEL, and FLYTEFOAM, a special type of foam that is the basis of their light weight running shoes. Their hands-on attitude to developing products can be seen in the C-Project, which is a part of their greater plan of becoming the top performance running footwear company, where they work with athletes, listening to their feedback, in a process to refine and improve the functionality of their products. Innovation is a key area where competitors in the footwear industry compete against each other and Asics holds a competitive resource of technology that are at the core of their performance enhancing footwear. **Balanced positioning in niche markets:**

Both Asics' core strengths that come from their running and Onitsuka Tiger product categories, target niche markets that have potential to face high levels of growth, and tend to be made up of loyal or repeat customers because of the niche nature of the market. In both categories, Asics maintains a luxury brand, whether it is premium running shoes (Performance Running) or luxury fashion footwear (Onitsuka Tiger), which is especially emphasized through their use of DTC. While Onitsuka Tiger is Asics' highest margin category, this category is susceptible to fast paced changing consumer demands that is apparent in the fashion industry. However, Asics compensates for this through their loyal running customer basis for the performance running category, leading to a consistent stream of sales. **Geographical Advantages and Expansion Potential:**

### Geographical Advantage: Strong brand recognition in Asia

Asics' net sales from Asia, Greater China, Southeast Asia, and Asics Japan combined, make up 36%, the largest portion of their total net sales, demonstrating their large presence in the region. Specifically, in Japan, specifically the strongest category in terms of sales is the Onitsuka Tiger category which makes up 50% of sales in the region. In the running market, Asics (31.5%) has the closest market share to Nike (42.3%), while in the global footwear market, Asics is around 20% behind Nike in market share, indicating Asics' strength in the Japan market (see appendix – with the global footwear market share percentages). **Geographical challenge: Asics' emerging strategy to penetrate North America**

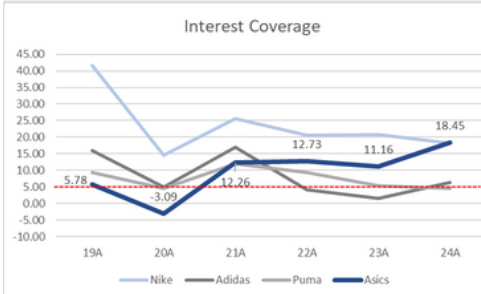
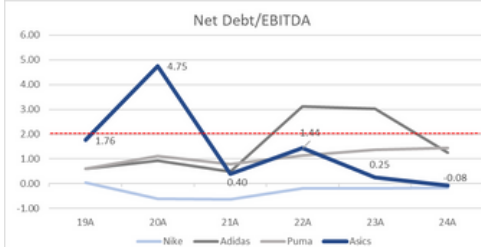
With the well-established presence of Nike in the North American market (sales making up 43% of revenue in 2024), Asics' efforts to enter into the region has been challenging. In this region, Asics has been struggling with not being able to sell footwear at full price, with discounting in outlets, leading to an image of a "cheap" brand contrasting with the desired brand image of high-quality footwear. Despite past failures in this region, Asics has a strong basis that they can further build on as customer awareness in North America being 66% and loyalty being 72% based on consumer surveys. Asics has started to take action to address their shortcomings, as starting 2023, they began decreasing the number of entry-level shoes that tended to be discounted in North America (aim to decrease by 2% in 2026). Asics has a refined strategy for their re-entry into North America, reshaping their brand image through focusing on sportstyle and running, as they intend on using their Onitsuka Tiger brand which they are currently building increased awareness in Europe.

### Strong Operating Margin:

Since 2021, Asics has implemented a Cost Owner System to deepen category-based management and strengthen cost control across key expense areas such as advertising, sales promotion, logistics, and others. This initiative assigned dedicated "cost owners" to each major cost category within product divisions, enabling greater transparency, accountability, and strategic oversight. As a result of this system, Asics achieved remarkable improvements in operating margin from 2.8% in 2019 to 14.75% in 2024. Furthermore, Asics has been shifting its sales channel from wholesale to DTC (Direct to Consumer) through its e-commerce platform as well as physical stores, which is expected to further enhance margins and overall profitability. In addition, the strong growth of the premium-priced Onitsuka Tiger brand, together with the company's broader strategy of pursuing higher price points across other categories, is likely to provide further support for margin expansion and reinforce Asics' profitability profile. **Return to Shareholders**

Asics' shareholder return policy is guided by its total payout ratio, with a target of 50% as outlined in the Mid-Term Management Plan 2026. Since 2019, following management reforms implemented by the new board of directors, the company has steadily increased dividend payments and executed substantial share repurchases to support its share price. **Recovering Credit Profile**

Asics's financial position has significantly improved compared to the period during the COVID-19 pandemic. Specifically, the interest coverage ratio rose from -3.09 in FY2020 to 12.26 in FY2021 and further to 18.45 in FY2024, indicating that operating profits now comfortably exceed interest ex-

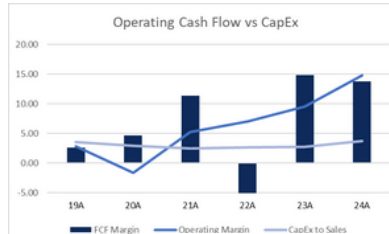


penses. Similarly, the Net Debt-to-EBITDA ratio declined from 4.75 in FY2020 to -0.08 in FY2024, showing that the company has turned into a net cash position. These developments suggest that (1) the recovery in sales and operating income has lowered the debt-servicing burden, and (2) improved free cash flow generation has enabled Asics to finance new investments with internal funds rather than external borrowing. **Strong Cash-Generating Capacity**

The chart comparing Operating Cash Flow and CapEx highlights Asics's strong cash-generating capability. Although the FCF margin temporarily turned negative in FY2022, this was mainly due to a one-off increase in working capital—particularly inventories and receivables—driven by the post-pandemic rebound in demand. Meanwhile, CapEx-to-Sales has remained consistently low at around 3–4%, indicating that capital expenditures are modest relative to revenue. Taken together, these findings demonstrate that Asics maintains a low-CapEx business model capable of generating stable free cash flow, providing sufficient internal capacity to fund future growth investments without relying on additional debt financing. **Du Pont Analysis**

According to the DuPont Analysis, the recent improvement in Asics's ROE is largely driven by strong operational efficiency. In addition, higher dividend payments and share buybacks — in line with the company's mid-term plan to maintain a 50% total payout ratio — have provided a modest boost through leverage effects. Compared with its peers, Asics ranks second only to Nike, achieving a 29% ROE in 2024. This highlights the company's growing competitive edge in managing operational efficiency. **Figure 1**

| DuPont Analysis                        | 2015A | 2016A | 2017A | 2018A  | 2019A | 2020A  | 2021A | 2022A | 2023A | 2024A |
|----------------------------------------|-------|-------|-------|--------|-------|--------|-------|-------|-------|-------|
| Asset Turnover (x)                     | 1.23  | 1.16  | 1.16  | 1.18   | 1.22  | 1.01   | 1.19  | 1.26  | 1.28  | 1.38  |
| x Pretax Margin (%)                    | 4.03  | 5.55  | 5.46  | -3.69  | 2.70  | -4.88  | 3.49  | 5.92  | 8.87  | 13.74 |
| = Pretax Return on Assets (%)          | 4.94  | 6.45  | 6.32  | -4.37  | 3.29  | -4.95  | 4.16  | 7.45  | 11.37 | 18.97 |
| x Tax Rate Complement (1-Tax Rate) (%) | 59.80 | 71.48 | 60.62 |        | 72.24 |        | 66.43 | 69.71 | 70.10 | 68.58 |
| = Return on Assets (%)                 | 2.93  | 4.54  | 3.75  | -6.23  | 2.29  | -4.97  | 2.77  | 5.16  | 7.93  | 12.98 |
| x Equity Multiplier (Assets/Equity)    | 1.75  | 1.72  | 1.73  | 1.79   | 1.95  | 2.33   | 2.49  | 2.43  | 2.36  | 2.24  |
| = Return on Equity (%)                 | 5.12  | 7.81  | 6.48  | -11.13 | 4.47  | -11.57 | 6.89  | 12.53 | 18.76 | 29.11 |



### Historical ROIC:

Underperforming Return on Invested Capital (ROIC) before 2021 can be attributed to lower NOPAT margins rather than Invested capital turnover. Moreover, enhancement of the margins is a major contributor to the improved ROIC for recent years. These enhancements in the margins can be regarded as the results of Asics' management reform after 2019. In addition, invested capital turnover has gradually enhanced. **Figure 2**

|                            | 2016A | 2017A | 2018A | 2019A | 2020A  | 2021A | 2022A | 2023A  | 2024A  |
|----------------------------|-------|-------|-------|-------|--------|-------|-------|--------|--------|
| NOPAT Margin               | 4.56% | 2.97% | 3.83% | 2.03% | -1.60% | 3.47% | 4.87% | 6.65%  | 10.12% |
| Invested Capital Turnover  | 1.52x | 1.50x | 1.59x | 1.65x | 1.36x  | 1.59x | 1.70x | 1.75x  | 1.96x  |
| Return on Invested Capital | 6.92% | 4.46% | 6.07% | 3.36% | -2.18% | 5.54% | 8.29% | 11.64% | 19.87% |

## VALUATION

| Terminal Growth Rate Method |          |
|-----------------------------|----------|
| Sum of PV of FCF            | 1,050    |
| Growth Rate                 | 2.96%    |
| WACC                        | 8.38%    |
| Terminal Value              | 4,783    |
| PV of Terminal Value        | 2,139    |
| Enterprise Value            | 3,190    |
| (+) Cash                    | 127      |
| (-) Debt (Interest Bearing) | 117      |
| (-) Minority Interest       | 2        |
| (-) Pension Liabilities     | 5        |
| Equity Value                | 3,193    |
| Diluted Shares Outstanding  | 0.72     |
| Implied Share Price         | 4,411.70 |

We calculate Asics' target price at ¥4,423 per share, 14.23% upside the base price. **DCF:**

Based on our DCF analysis, we estimate Asics' intrinsic value at ¥4,412 per share under the terminal growth rate method and ¥4,434 per share under the exit multiple method. Compared with the base price of ¥3,872 (closing price as of September 30), these valuations imply an upside potential of 13.93% and 14.52%, respectively. We extended our projections through 2034 (a 10-year forecast horizon), reflecting our expectation that Asics will continue its strong growth trajectory before gradually converging toward the terminal growth rate. Our target price is calculated as ¥4,423 per share by taking the average of two intrinsic prices. **WACC:**

We estimated Asics' WACC at 8.33% derived from the following cost of equity and debt. **Cost of Equity:** We calculated the cost of equity of 8.56%. For the beta, we use a 5-year monthly beta of 1.32. 10 year Japanese government bond yield of 1.60% was used as risk free rate, and the equity risk premium of 5.27% was based on the value estimated by Damodaran. **Cost of Debt:** We calculated the 4.35% pre-tax cost of debt and the after-tax cost of debt at 3.02%. The value is derived from the weighted average interest rate of long-term and short-term debt at FY24. **β:** Our regression analysis estimated the adjusted 5-year beta of 1.33. (Raw  $\beta = 1.495$ , Adjusted  $\beta = \text{Raw } \beta + \text{Terminal Growth Rate} / \text{Exit Multiple}$ ).

| Exit Multiple Method       |          |
|----------------------------|----------|
| Sum of PV of FCF           | 1,050    |
| EBITDA (2034E)             | 402      |
| EV/EBITDA                  | x12.0    |
| WACC                       | 8.38%    |
| Terminal Value             | 4820     |
| PV of Terminal Value       | 2156     |
| Enterprise Value           | 3,206    |
| (+) Cash                   | 127      |
| (-) Debt                   | 117      |
| (-) Minority Interest      | 2        |
| (-) Pension Liabilities    | 5        |
| Equity Value               | 3,209    |
| Diluted Shares Outstanding | 0.72     |
| Implied Share Price        | 4,434.35 |

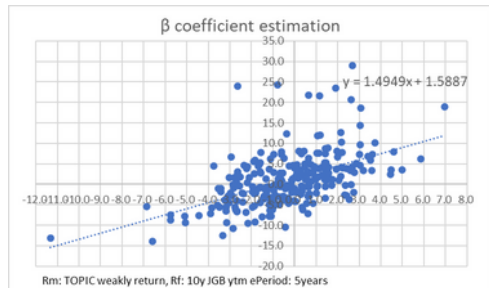
We calculated the terminal growth rate to be 2.963%. We derived from the estimated regional revenue compositions at FY31 and their weighted average to the nominal GDP growth forecast rate for each region to 2060. (GDP forecast by PwC, GS). The exit multiple is set at 12x, below the 5-year historical and peer average of 14.3x, to reflect Asics' transition into a mature phase where growth is expected to converge toward the terminal growth rate. This conservative assumption mitigates the risk of overstating the terminal value. **Multiple analysis**

Competitors were selected based on the similarity of their business models. From this peer group, we calculated the average values of several valuation multiples, including EV/EBITDA, EV/EBIT, and P/E. The share prices implied by these multiples suggest that our target price falls within the peer valuation range. **Sensitivity Scenario Analysis**

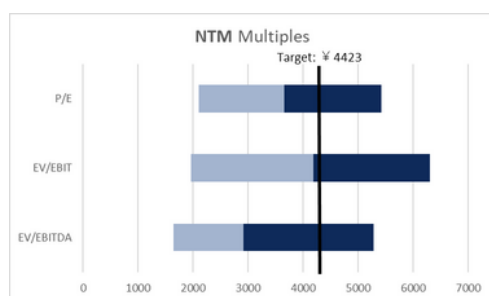
We conducted sensitivity analysis by changing two key variables: Terminal growth rate or exit multiple and WACC. The table indicates that the intrinsic price is more sensitive to the change in the WACC compared to the growth rate:  $\pm 0.25\%$  change in WACC leads to  $\pm 5\%$  change in price whereas the same % change in growth rate only affects the price by  $\pm 3\%$ . **Monte Carlo - DCF:** The Monte Carlo -DCF simulation (10,000 iterations) indicates an average valuation of ¥4,235 with an

| Weighted Average Cost of Capital (WACC) |       |
|-----------------------------------------|-------|
| Equity (market cap)                     | 2,735 |
| Debt                                    | 117   |
| Cost of Debt                            | 4.4%  |
| Tax Rate                                | 30.6% |
| D/(D+E)                                 | 4.1%  |
| After Tax Cost of Debt                  | 3.0%  |
| Risk Free Rate (10-Yr JGB Yield)        | 1.6%  |
| Expected Market Return                  | 6.9%  |
| Market Risk Premium                     | 5.3%  |
| Levered Beta                            | 1.33  |
| E/(D+E)                                 | 95.9% |
| Cost of Equity                          | 8.6%  |

|      |       |
|------|-------|
| WACC | 8.38% |
|------|-------|



|               | Weight | GDP growth | Weighted Growth |
|---------------|--------|------------|-----------------|
| Japan         | 21.3%  | 1.2%       | 0.263%          |
| North America | 17.8%  | 3.0%       | 0.526%          |
| Europe        | 25.4%  | 2.2%       | 0.553%          |
| China         | 16.1%  | 4.1%       | 0.656%          |
| Oceania       | 5.5%   | 3.6%       | 0.200%          |
| SE/South Asia | 8.2%   | 6.0%       | 0.494%          |
| Other         | 5.7%   | 4.8%       | 0.271%          |
| SUM           | 100.0% |            | 2.963%          |



| Terminal Growth Rate |                               |
|----------------------|-------------------------------|
| WACC                 | 2.46% 2.71% 2.96% 3.21% 3.46% |
| 7.88%                | 4,577 4,734 4,907 5,098 5,311 |
| 8.13%                | 4,353 4,493 4,647 4,816 5,004 |
| 8.38%                | 4,149 4,274 4,412 4,562 4,728 |
| 8.63%                | 3,961 4,074 4,197 4,332 4,479 |
| 8.88%                | 3,789 3,891 4,002 4,122 4,254 |

## INVESTMENT RISK

| Exit Multiple |                               |
|---------------|-------------------------------|
| WACC          | ×11.0 ×11.5 ×12.0 ×12.5 ×13.0 |
| 7.88%         | 4,315 4,445 4,575 4,705 4,835 |
| 8.13%         | 4,250 4,377 4,504 4,631 4,758 |
| 8.38%         | 4,186 4,310 4,434 4,558 4,683 |
| 8.63%         | 4,124 4,245 4,367 4,488 4,609 |
| 8.88%         | 4,063 4,182 4,300 4,419 4,537 |

|                 | Bear    | Base   | Bull   |
|-----------------|---------|--------|--------|
| Revenue CAGR    | 8.06%   | 9.91%  | 11.83% |
| EBITDA margin   | 21.0%   | 23.0%  | 24.0%  |
| CCC (days)      | 112     | 98     | 91     |
| Upside/Downside | -10.75% | 14.23% | 40.41% |

upside potential of 9.3%. Key inputs—revenue growth, EBITDA margin, working capital, WACC, and terminal growth—were varied to capture valuation uncertainty. **Monte Carlo - Geometric Brownian Motion:** The Monte Carlo simulation with Brownian motion was conducted (10,000 iterations) with the expected rate of return of 6.87% (as in WACC) and volatility of 44% (past one-year average). Source: V-Lab ) We also built Bull and Bear case scenarios using a separate set of assumptions to consider possible deviation from our DCF Base case valuation. There is no change to our assumptions of the cost of capital and terminal growth rate in either Bull or Bear cases. In the Bull case, we assume stronger revenue growth (+11.83% CAGR) and operational improvements, including better inventory turnover and tighter cost control. Conversely, in the Bear case, revenue growth slows (+8.06% CAGR), while operational inefficiencies, such as inventory buildup and increased SG&A costs, reduce the EBITDA margin and extend the CCC. The main drivers for these deviations are: 1) Consumer demand trends in sports style category – changes in popularity and market demand for Asics's lifestyle lines, 2) Success in international market expansion (especially US and DTC channels) – the company's ability to penetrate key markets and grow direct-to-consumer sales, 3) Operational efficiency and cost management – effectiveness of inventory, logistics, and SG&A controls impacting margins and CCC, 4) Competitive product positioning – Asics's ability to differentiate its product portfolio and compete effectively against comps.

## Key Drivers

### - Strong Revenue Growth Through Geo × Category mix -

Asics' revenue growth is underpinned by three structural vectors that reinforce both near-term momentum and medium-term durability.

- Geographic Expansion with Distinct Category Drivers:** In North America, performance running remains the core, supported by run-specialty wholesale and growing DTC, while SportStyle gains as lifestyle adoption rises. In Europe, growth is driven by SportStyle and Onitsuka Tiger, particularly in fashion-forward cities. In Greater China and Southeast/South Asia, Onitsuka Tiger and performance running contribute to market share gains.
- Digital & Membership Ecosystem:** The OneAsics platform, targeting 30 million members by 2026, integrates loyalty, training apps, and personalized e-commerce. This boosts conversion, repeat purchases, and realized pricing, while deepening brand engagement. Digital sales, already over 20%, continue to grow at a double-digit pace through data-driven personalization.
- Category Leadership & Product Innovation:** Asics outgrows the market in performance running through technological innovation such as METASPEED, while SportStyle leverages running credibility for lifestyle appeal. Onitsuka Tiger strengthens the premium positioning with higher ASP and DTC-led growth.

### - Margin Expansion Driven by COGS and SG&A Efficiencies -

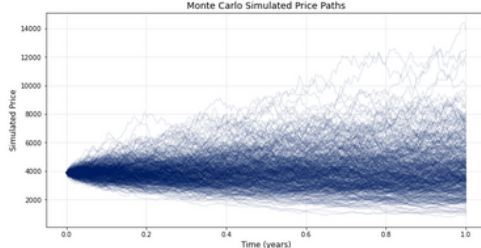
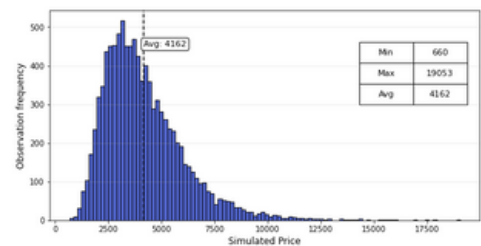
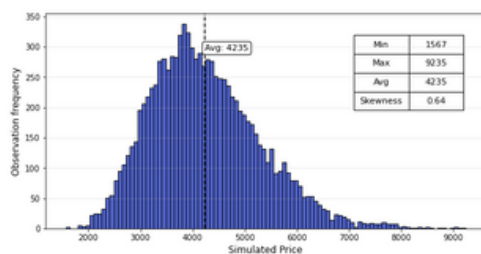
Margin expansion is underpinned by product-led COGS improvements and SG&A discipline, creating a dual lever effect that enhances both profitability and cash generation, making the growth trajectory sustainable and defensible.

- Gross Margin Uplift via Product Mix, Pricing, and Supply Chain Optimization:** Gross margins are expected to rise as Asics emphasizes high-value products, improves realized selling prices through disciplined full-price sell-through, and increases direct-to-consumer and flagship retail share. Supply chain optimization, including localized production and export hubs, reduces logistics costs and mitigates tariffs, enhancing cost efficiency without limiting growth.
- Operating Leverage Through SG&A Efficiency:** Operating leverage benefits from more efficient marketing via the OneAsics membership platform, controlled G&A scaling, and focused R&D investment. Combined with gross margin expansion, these efficiencies support operating margins reaching the mid-term target of around 17% by 2025, enhancing profitability and sustainable free cash flow.

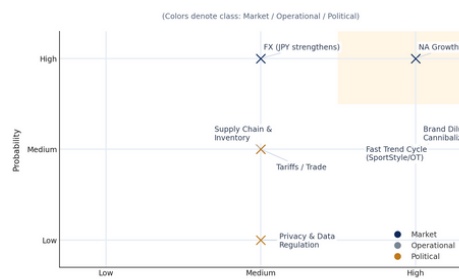
## OPERATIONAL RISK

**[O1] Brand Dilution & Cannibalization:** There is a risk that Asics's entry into high-margin lifestyle segments could dilute its performance-running brand and cannibalize core sales, as a result of service inconsistency. *Mechanism:* Onitsuka Tiger's luxury positioning and SportStyle's fashion focus are boosting margins, but if over-emphasized, they might erode Asics's identity as a serious athletic brand. Core runners could defect if they feel the brand is distracted, while fashion consumers might not convert into performance shoe buyers. *Impact:* This could manifest as weaker pricing power or lower repeat sales for performance lines. For instance, if the flagship Running category's growth were to stagnate at low-single digits (instead of ~7% in our base) due to brand mispositioning, it would prevent the anticipated mix-driven margin uplift. *Mitigation:* Asics maintains a distinct brand segmentation to avoid overlap, through different marketing strategies, brand image, and targeted customers. Asics is able to prioritize its KPI of technical innovation for its Performance Running category, maintaining its renowned brand image amongst runners.

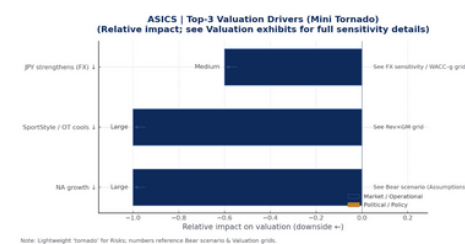
**[O2] Supply Chain and Inventory Management Risk:** By increasing diversification, through operating across many regions, categories, channels, and manufacturing locations, increases the complexity of demand signals and thus supply responses. *Mechanism:* This complexity in operations raises forecasting and allocation error, forcing trade-offs between higher safety stock and faster but costlier emergency replenishment. *Impact:* The net effect is a materially higher probability of either overstock (markdowns, obsolescence, tied working capital) or stockouts (lost full-price



ASICS | Key Investment Risks — Probability × Impact



Note: Detailed valuation effects referenced to Bear scenario & Valuation exhibits.



Note: Lightweight 'tornado' for Risks; numbers reference Bear scenario & Valuation grids.

sales, customer churn), both of which compress margins and realized revenue. **Mitigation:** Asics is increasing the use of technology by investing in management software to decrease the increased pressures on management, ultimately making the management process more efficient and easy to oversee.

## POLITICAL RISK

**[P1] Tariff Uncertainty and Disrupted Supply Chains:** Changes to tariff schedules, rules of origin, export controls, or sanctions can lead to risks for suppliers, forcing them toward requalification or production relocation. **Mechanism:** Such regulatory shifts can abruptly raise unit costs, extend lead times, and require operational changes that can impact delivery schedules and pricing competitiveness. **Impact:** JPMorgan estimates that a 30–40% U.S. tariff could cut ¥14 billion from Asics's 2026 operating profit (roughly an 18% hit vs. a no-tariff case). As seen in 2025, tariff fears contributed to stock volatility, meaning that even a smaller tariff (e.g. 10%) could shave a few points off gross margin. **Mitigation:** Asics has a diversified supply chain, with production spread out between countries such as Vietnam, Indonesia, and Cambodia, which is part of their resilience. With this risk, Asics could re-route production to regions with favorable trade terms (e.g. more sourcing from ASEAN or even exploring Americas manufacturing for the U.S. market).

**[P2] Privacy and Data Regulation Impact on Digital Platforms:** With Asics expanding their digital platforms into new regions, it is subject to regulatory constraints. **Mechanism:** Tighter privacy regimes, consent requirements, data localization rules, and targeting restrictions can pose a risk as they reduce the precision and efficiency of paid acquisition and personalization. **Impact:** Compliance obligations and potential regulatory penalties increase operating costs and can materially reduce the return on digital marketing, membership growth, and data-driven monetization. **Mitigation:** While time-consuming, Asics' research on localized rules, will aid in navigating their expansion into new digital markets.

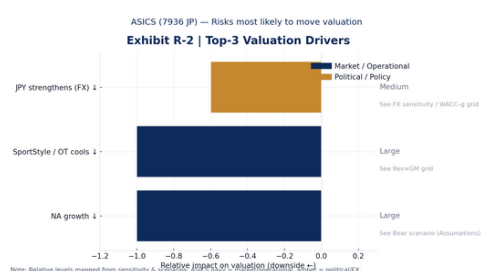
## MARKET RISK

**[M1] Fast Trend Cycle in Footwear and Lifestyle:** Footwear and lifestyle industry is driven by a short, volatile trend cycle which impacts Asics' SportStyle, Onitsuka Tiger, and Apparel lines. Missed timing, unsuccessful collaborations, or rapid shifts in consumer tastes can strand high-margin limited SKUs, compress average selling prices in lifestyle lines, and increase the share of low-margin clearance inventory. **Mechanism:** For example, the "dad shoe" and vintage runner trend may decline, leaving Asics with excess inventory of a product that the market no longer demands. **Impact:** A sharp fall-off in lifestyle sneaker demand would impact both revenue and margin. For example, our model assumes ~20% CAGR for Onitsuka Tiger; a downside case with 5 percentage-points lower growth and 200 bps lower margin for this segment (per our bear scenario) translates to roughly a 36% drop in equity value. **Mitigation:** Asics has a strong balance between products that target the lifestyle segment (e.g. limited-edition colorways) while at the same time maintaining its core running business which provides a baseline of demand that is less fashion-driven and is characterized by loyal customers.

**[M2] North America Growth Stall:** Intense competition and distribution challenges in North America could impede Asics' expansion in this key market. **Mechanism:** Major rivals like Nike and emerging competitors like On Running are aggressively targeting the running category, potentially limiting Asics's shelf space and media share. **Impact:** North America currently has the lowest operating margin (8.3% vs. 14–23% in other regions). Thus, if sales growth in this region were to flatline (vs. our base ~+10% CAGR) and marketing costs were raised to defend share, our DCF would erode significantly. **Mitigation:** With Asics' continued focus on the performance running niche, they are investing in product innovation (e.g. the Metaspeed series) and sports medicine endorsements to reinforce brand loyalty among core runners. In terms of distribution, Asics has diversified its channels in North America (partnering with both big retailers and local run shops) and improved inventory control.

**[M3] Currency Fluctuation:** With over 75% of revenue overseas, Asics is exposed to FX swings upon JPY reporting. **Mechanism:** A strengthening yen can translate into lower reported sales/profits (and vice versa for yen weakness). It also affects costs: manufacturing is largely in Asia with USD or CNY-linked costs, so a stronger JPY raises unit costs and hurts gross margin. **Impact:** Asics provides sensitivity: a ¥1 appreciation against the USD reduces sales by ~¥0.75 billion and operating profit by ¥0.03 billion. If we assume a scenario of JPY rapidly rising to pre-2022 levels, our earnings forecasts would be trimmed and DCF value could fall on the order of 5–10%. **Mitigation:** Asics actively hedges currency exposure (rolling ~3-year forward contracts for major currencies) and can adjust pricing in markets if FX moves are sustained. Its production is geographically diversified across several Asian countries, which provides some natural hedge (costs in RMB, VND, IDR offset each other).

## ESG

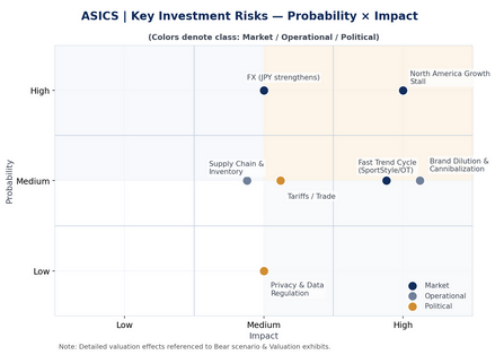


Note: Relative levels mapped from sensitivity & Relative impact on valuation (downside = -) = political/FX.

## Environment – Positive

Asics' activities to address the environmental implications as a result of the companies' operations is consistent with the industry trends and competitor companies. With Asics' brand philosophy being based on well-being, it is important for Asics to have this same philosophy for the Earth and environmental problems. **Environmental Issues faced by overall industry:**

In the footwear and apparel industry, the main environmental concerns are waste generation during the production process and product life cycle, carbon emissions, and raw material sourcing. Some of the key raw materials in footwear production include rubber (16%), leather (25%), textile and fabrics (6%), and synthetic materials (e.g. polyurethane) (Van Rensburg et al. 2020). Synthetic materials used in footwear are especially harmful, contributing to microplastic pollution and use of fossil fuels during the production of the material. Animal rights activist groups are particularly concerned about the ethical sourcing of leather, as seen in the movement away from using Kangaroo leather by



**Exhibit R-3 | Early-Warning KPI Dashboard (Quarter-Page)**

|                                                                                                                                                                                                                   |                                                                                                                                                                                                                        |                                                                                                                                                                                                                    |                                                                                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| NA Sales Growth (LYM)<br><b>9.50%</b><br>Threshold: 8.00%   Direction: 1 better   Threshold: 10.00%   Direction: 1 better   Threshold: 8.00%   Direction: 1 better   Threshold: 10.00%   Direction: 1 better      | NA EBIT Margin (TTM)<br><b>12.00%</b><br>Threshold: 10.00%   Direction: 1 better   Threshold: 12.00%   Direction: 1 better   Threshold: 10.00%   Direction: 1 better   Threshold: 12.00%   Direction: 1 better         | SportStyle/OT ASP Δ (NY)<br><b>-1.50%</b><br>Threshold: -2.00%   Direction: 1 better   Threshold: -1.00%   Direction: 1 better   Threshold: -2.00%   Direction: 1 better   Threshold: -1.00%   Direction: 1 better | Markdown Rate<br><b>18.00%</b><br>Threshold: 15.00%   Direction: 1 better   Threshold: 20.00%   Direction: 1 better   Threshold: 15.00%   Direction: 1 better   Threshold: 20.00%   Direction: 1 better       |
| Running Repeat Purchase<br><b>28.00%</b><br>Threshold: 25.00%   Direction: 1 better   Threshold: 30.00%   Direction: 1 better   Threshold: 25.00%   Direction: 1 better   Threshold: 30.00%   Direction: 1 better | Tech Flagship Mix<br><b>12.00%</b><br>Threshold: 10.00%   Direction: 1 better   Threshold: 14.00%   Direction: 1 better   Threshold: 10.00%   Direction: 1 better   Threshold: 14.00%   Direction: 1 better            | Inventory Days<br><b>110.00d</b><br>Threshold: 100.00d   Direction: 1 better   Threshold: 120.00d   Direction: 1 better   Threshold: 100.00d   Direction: 1 better   Threshold: 120.00d   Direction: 1 better      | Out-of-Stock (OOS)<br><b>3.50%</b><br>Threshold: 3.00%   Direction: 1 better   Threshold: 4.00%   Direction: 1 better   Threshold: 3.00%   Direction: 1 better   Threshold: 4.00%   Direction: 1 better       |
| Tariff Effective Rate (US)<br><b>8.00%</b><br>Threshold: 10.00%   Direction: 1 better   Threshold: 6.00%   Direction: 1 better   Threshold: 10.00%   Direction: 1 better   Threshold: 6.00%   Direction: 1 better | Consent Opt-in (New Members)<br><b>72.00%</b><br>Threshold: 70.00%   Direction: 1 better   Threshold: 74.00%   Direction: 1 better   Threshold: 70.00%   Direction: 1 better   Threshold: 74.00%   Direction: 1 better | USDJPY 90-day Index<br><b>0.96</b><br>Threshold: 0.95   Direction: 1 better   Threshold: 0.97   Direction: 1 better   Threshold: 0.95   Direction: 1 better   Threshold: 0.97   Direction: 1 better                | Natural Hedge Ratio<br><b>40.00%</b><br>Threshold: 50.00%   Direction: 1 better   Threshold: 30.00%   Direction: 1 better   Threshold: 50.00%   Direction: 1 better   Threshold: 30.00%   Direction: 1 better |

Note: Values are illustrative, replace with live trackers. Green = above/below threshold (good), Orange = near threshold (watch), Red = breached (risk).

Puma (ended 2023), Adidas (ended 2024), and Nike (ended 2023) due to ethical concerns. Asics also made this shift starting this year, demonstrating Asics' awareness regarding ethical sourcing of their products. Another point of concern is the materials used in the packaging (paper or plastic) that can generate excessive waste. To address this, Adidas has shifted to use recycled paper and plastic to (Adidas). Often, in an attempt to appear more sustainable, many footwear companies have collaborated with NGOs and companies that are dedicated to environmental causes in which they release a line of sustainable products, for example, Adidas' collaboration and product launch with Allbirds in 2021, a company specializing in eco-friendly footwear and apparel. **Asics addressing environmental concerns:**

**Sourcing of materials:**

A number of Asics products involve the use of leather and to address this Asics is a member of the Leather Working Group (LWG), a non-profit organisation that works on certifying suppliers and companies on sustainability producing and using leather. Taking action in 2021, Asics following Adidas, started to use 100% recycled shoe boxes, which lessened their carbon dioxide emissions by 1,200 metric tons and overall have efforts to use recycled polyester fibers from PET bottles to be used in their sportstyle line with their goal being shifting to using 100% recycled polyester by 2030 (Source). Following the industry trend of sustainable collaborations, Asics worked with Toyoda Gosei to create the SKYHAND OG sneakers using leather from steering wheel remnants sourced from Vietnam (Source). Since most shoes are not recycled, to extend the end-of-life cycle of footwear, Asics introduced their first recyclable shoe, the NIMBUS MIRAI where customers can return the shoe for it to be recycled. These products communicate Asics' strong efforts to sustainability to investors and consumers, which is especially important to potential investors in Europe where extensive supply chain ethics screenings are conducted. **Emissions:**

Asics' has a couple goals regarding their carbon emissions, such as a 63% decrease in emissions by 2030 in their supply chain, and bringing their dependence on renewable energy to 100% in their operations by 2030. In 2025, their percentage of non-renewable energy use is still high at 60%, still at a relatively high percentage, especially if they want to achieve their ambitious plan of having net-zero emissions by 2050. There is no clear progress plan or overall means to achieve this ambitious goal, which brings into question whether they are making actionable progress towards the goal. However, they have provided transparency regarding their goal of using recycled polyester in the manufacturing process, as they reached 50% of their 100% goal of using recycled polyester in their footwear by 2030. Other footwear companies have similar ambitious goals seen in Nike's "Move to Zero" in 2019 and Adidas's goal including using 100% sustainable materials in 2025. Despite these goals set by companies, green washing is common for companies, seen in how in 2021, Adidas was publishing misleading comments about their sustainability efforts and lack of transparency regarding the percentage of recycled materials in their Stan Smith shoe line (source). **Social –**

**Mediocre**

With controversies based on labor rights, working-conditions, also common issues faced by competitor companies, Asics positioning can be described as average with areas such as corporate inclusion slightly behind competitor companies particularly in terms of the global market, while at the same time being above average of other Japanese companies. **Employee Engagement:**

Asics emphasizes its use of the employee engagement survey as the response rate was 92% with an employee engagement score of 73 in 2024, compared to 79% response rate and an engagement score of 66 in 2022. Additionally they introduced a new profit-sharing system where the company's earnings are provided through providing bonuses that include a ¥500,000 bonus in March 2025 and lump-sum payments, which demonstrates their attention to employee well-being. **Supply Chain Controversies and Human Rights:**

Consumers in the footwear market, especially in Europe and North America tend to care about the operations of companies in terms of human rights violations. Common ways that consumers retaliate when companies are not holding up these standards are through boycotts where they leverage their purchasing power, seen in a boycott against Puma to stop its sponsorship of the Israel Football Association, which was ultimately successful (source). Asics has had issues in its supply chain in terms of human rights with labor practices, as in 2024 it was reported that Asics was violating labor rights in the Cambodian factory, Wing Star Shoes leading them to organize unions. Additionally, a Sri Lankan supplier filed a legal complaint against multiple footwear companies including Asics, about activities during the COVID-19 pandemic, over wage and severance violations. These controversies indicate issues in terms of human rights and operations in the supply chain, which could especially impact sales in Europe where consumers are attentive to human rights violations of corporate activities. Issues with labor rights in the supply chain are also faced by other competitors, such as Nike facing criticism closing factories after labor issues in Cambodia without paying its employees and withholding wages from Hong Kong workers (2020) (source). Recently, at Wing Star Shoe when a union leader was wrongfully arrested, Asics refused to provide compensation and with limited public statements addressing the issue, which shows their lack of action when there is real human rights abuses despite their public statements about it (Source, Second Source). **Inclusion in the workplace:**

In their report Asics claims that there is 25% of diversity reflected in the board members, and in their sustainability report claim that 39.5% women hold managerial positions within the company. While the first percentage of female directors is below the industry average which is around 30%, with major competitors, Nike where 49% of all employees are women, and 43% of the directors are women in 2021 (source) and for Adidas 40.7% of positions in director levels and above were held by women in 2024 (source). Compared to industry standards set by other competitors, Asics seems to be behind on DEI initiatives especially for gender. Additionally, among their highest ranked directors,

as listed on the website only 5 are women, out of the 26 various directors and executive officers. Only among the directors, of which there is, is there an equal distribution of women versus men. However, in 2024 it was reported that women only made up 16.8% of executives in listed companies, suggesting that Asics is ahead of other Japanese companies (Asahi Shimbun). Additionally, Mizuno, a competitor Japanese company, where in the last five years there has not been an internal female board member with only 8% of women holding managerial positions (FY2024). Thus, while Asics is behind competitor companies outside of Asia, they are steadily showing improvements in their workplace inclusion. **Governance – Positive**

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Asics' corporate structure demonstrates strong and efficient governance, with an appropriate number of independent board members and shareholder structuring, moving away from cross-shareholding signifies increased transparency and accountability that is valuable for a healthy company. **Management/Board of Directors:**

---

Asics has a ISS governance score of 2, which indicates that they have a stable corporate structure that is potentially minimally impacted by risk. The management team of Asics, is made up of 14 members with an average of 14 years of tenure, showcases a strength as the company is managed by a group of experienced people who know the company extremely well. Asics has a "Nomination and Compensation Committee," consisting of independent outside directors and internal directors, which is responsible for selecting candidates for director and executive positions and has the power to decide compensations based on performance (source). The CEO, Hirota Yasuhito and COO Tominaga Mitsuyuki are internal directors of this committee. With the board consisting of 8 members, with an average of 14 years of tenure. Most who have management positions have 5+ tenure and out of the 8 board members 5 are independent directors, making up 62.5% of the board, which provides more objectivity in the decision making of the company, which could be a strong foundation for when the firm is facing risky situations. As a comparison, Nike has 12 total directors, with 75% (9 members) being independent directors, which is slightly higher than Asics. A point of concern is that the board members are overwhelmingly male with only 2 members being female. The number of women in their management team is even lower at 17%. For their global operations, Asics have hired foreign executives such as Carsten Unbenhaun, the CEO for their Europe operations since 2020 and former CEO of Asics' former subsidiary company Haglofs, and Mark Brunton, the managing director of operations in Oceania. Considering most of Asics' sales come from outside of Japan, it seems as though there are a limited number of foreign members especially in higher positions in the company excluding executives. **Shareholder ownership:**

---

The majority of Asics's shareholders are institutional investors with the majority held by non-Japanese companies, which make up 50% and financial institutions consist of 30% of the shareholders. This shareholder profile aligns with Asics' presence of global sales and places them as a strong competitor against other sports footwear companies, however these shareholders may influence decision making power in Asics' operations abroad. In 2024, Asics sold their remaining cross-shareholdings, a common practice in Japan, demonstrating Asics' dedication to global governance standards and increased transparency with more external shareholders to audit company performance. In the same year, Asics also executed a 1-for-4 stock split, in improving the accessibility of investors to purchase shares. **Executive Compensation:**

---

Asics enforces basic compensation, performance-linked bonus, which are both single-year based and restricted share compensation which are distributed once the operating income, DOA, and ROA goals set are met. This structure commonly aligns with industry standards, however a point of potential concern is that Asics does not integrate ESG initiatives into their compensation, while for example Nike have compensation based on sustainability and diversity goals. This indicates the potential Asics' lack of focus on sustainability goals as improving these areas are not incentivised.

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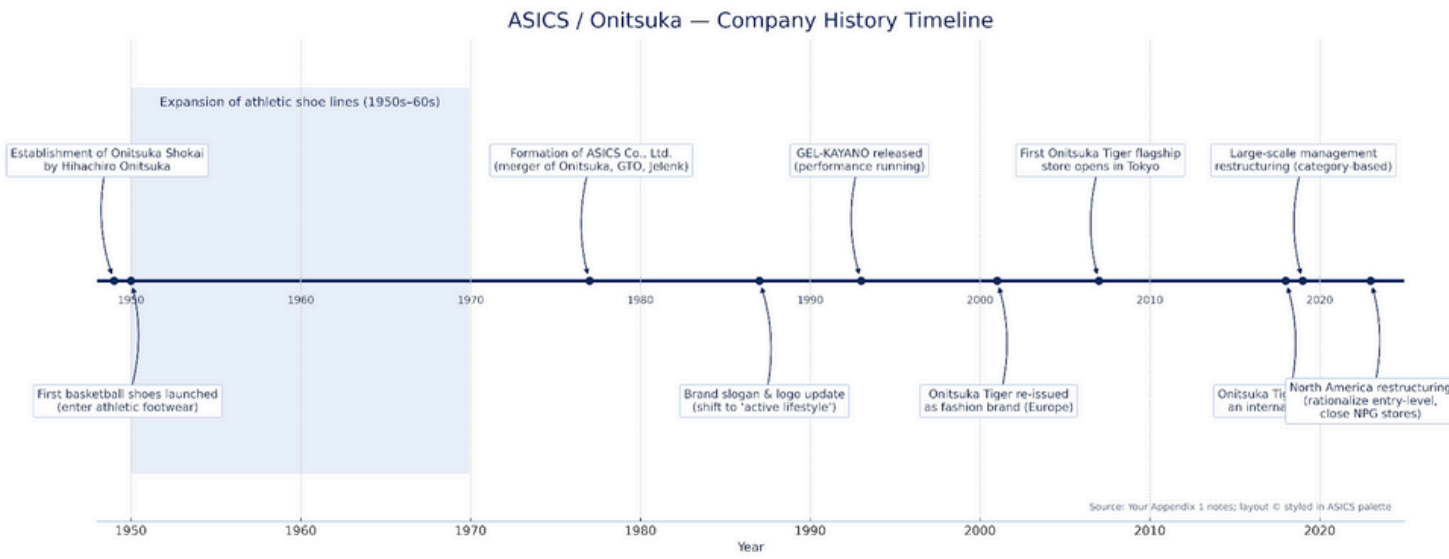
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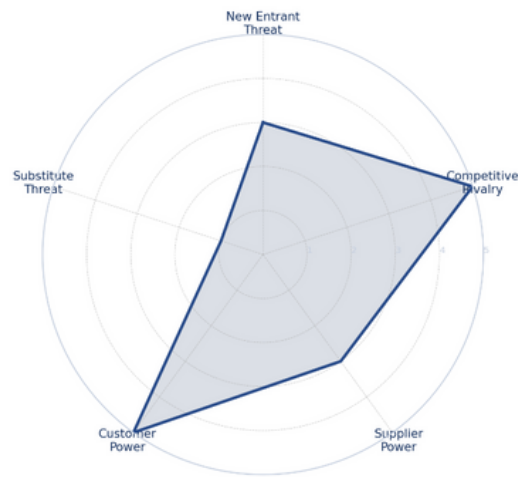
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Appendix 1: Company History



Appendix 2: Porter’s Five Forces

Exhibit: Porter’s Five Forces — ASICS (Footwear)



Source: Team analysis

Appendix 4: Board Members

ASICS Board — independence & tenure

| Name               | Position outside of board                | Independent | Tenure as board member |
|--------------------|------------------------------------------|-------------|------------------------|
| Yasuhiro Hironaka  | Chairman & CEO                           | No ❌        | 7 years                |
| Wataruaki Terahara | President, COO & Representative Director | No ❌        | 1 year                 |
| Mariko Ito         | Independent outside director             | Yes ✔️      | 1 year                 |
| Mitsuru Watanabe   | Independent outside director             | Yes ✔️      | 2 years                |
| Manabu Kuramoto    | Outside director                         | No ❌        | 2 years                |
| Yasushi Yokoi      | Independent outside director             | Yes ✔️      | 5 years                |
| Kazuo Sumi         | Independent outside director             | Yes ✔️      | 7 years                |
| Masa Sudo          | Independent outside director             | Yes ✔️      | 5 years                |

Notes: ✔️ = Independent director; ❌ = Not independent. Source: Company disclosures (compiled).

### Appendix 3: Executive Committee Chart

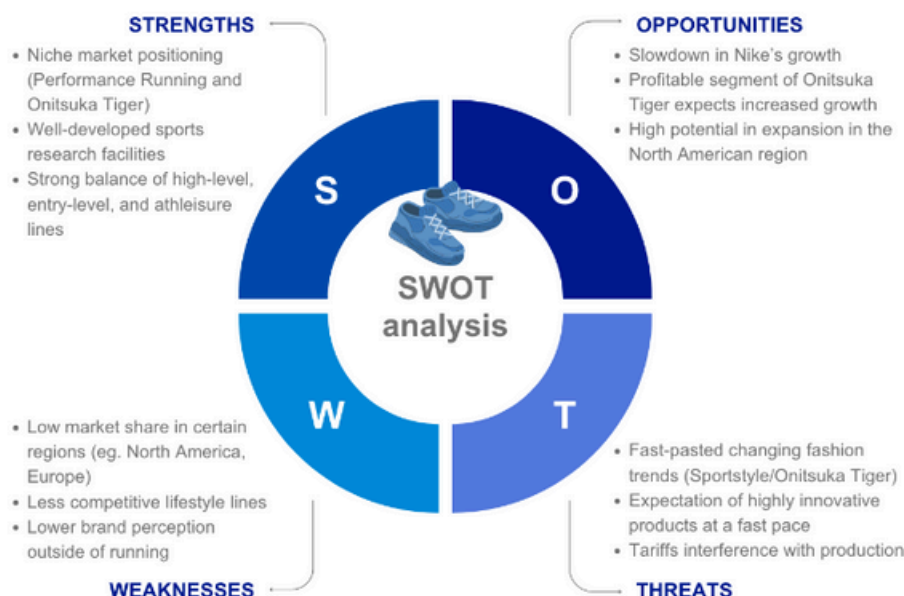
| Position                                       | Name                      | Years of tenure at Asics | Background                                                                                                                                                        |
|------------------------------------------------|---------------------------|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Chairman & CEO                                 | <b>Yasuhito Hirota</b>    | 7 years                  | <ul style="list-style-type: none"> <li>- Experience at Mitsubishi Corporation</li> <li>- President since 2018</li> </ul>                                          |
| President, COO & Representative Director       | <b>Mitsuyuki Tominaga</b> | 7 years                  | <ul style="list-style-type: none"> <li>- Experience working for IBM as vice president (17 years)</li> </ul>                                                       |
| Chief Information Officer                      | <b>Koji Hayashi</b>       | 10 years                 | <ul style="list-style-type: none"> <li>- Experience as financial manager for a manufacturing company</li> <li>- Finance director for Nidec Corporation</li> </ul> |
| Chief Information Officer                      | <b>Hirofumi Ohshima</b>   | 2 years                  | <ul style="list-style-type: none"> <li>- Prior experience working in IBM Japan (15 years)</li> </ul>                                                              |
| Executive Vice President                       | <b>Shinji Senda</b>       | 5 years                  | <ul style="list-style-type: none"> <li>- 40 years of experience in the sports industry</li> </ul>                                                                 |
| Chief Administrative Officer                   | <b>Takeshi Horikomi</b>   | 4 year                   | <ul style="list-style-type: none"> <li>- Was previously executive officer at Asics</li> </ul>                                                                     |
| Chief Digital Officer                          | <b>Akihiko Sadaka</b>     | 23 years                 | <ul style="list-style-type: none"> <li>- Experience at Asics corporation US</li> </ul>                                                                            |
| Managing Executive Officer                     | <b>Ryoji Shoda</b>        | 14 years                 | <ul style="list-style-type: none"> <li>- Head of Onitsuka Tiger's operations</li> </ul>                                                                           |
| Managing Executive Officer & GM-China Overseas | <b>Tsuyoshi Nishiwaki</b> | 13 years                 | <ul style="list-style-type: none"> <li>- Director of sports research institute</li> <li>- Specialization in engineering</li> </ul>                                |
| Managing Executive Officer                     | <b>Koichiro Kodama</b>    | 6 years                  | <ul style="list-style-type: none"> <li>- President for North America operations</li> </ul>                                                                        |
| Manager-Marketing Division                     | <b>Tomoko Koda</b>        | 9 years                  | <ul style="list-style-type: none"> <li>- Past experience working for Nike Baseball General Manager</li> </ul>                                                     |
| Manager-Legal Affairs                          | <b>Eriko Izumi</b>        | 11 years                 | <ul style="list-style-type: none"> <li>- Law background</li> <li>- Experience working in Asics America Corporation</li> </ul>                                     |

## Appendix 5: ESG Scoreboard

|                                       | Asics                                                                                                                                                                                                               | Nike                                                                                                                                                                                       | Adidas                                                                                                                                           | Puma                                                                                                                                                                                                           |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Environmental</b>                  |                                                                                                                                                                                                                     |                                                                                                                                                                                            |                                                                                                                                                  |                                                                                                                                                                                                                |
| <b>GHG Emissions</b>                  | <p>Targets 63% reduction in CO2 emissions in the value chain by 2030.</p> <p>Long term goal of using 100% renewable energy by 2030 and net zero by 2050</p>                                                         | <p>Targets 65% reduction in CO2 emissions in own operations by 2030.</p> <p>Long term goal of sourcing energy 100% from renewable electricity, and net carbon zero by 2050.</p>            | <p>Targets 70% reduction in GHG emissions in own operations by 2030.</p> <p>Long term target of net zero emissions by 2050.</p>                  | <p>Targets reduction of GHG emissions by 90% by 2030.</p> <p>100% renewable energy was used for Puma entities achieved in 2024.</p>                                                                            |
| <b>Raw Materials</b>                  | <p>Targets to use 100% recycled polyester by 2030.</p> <p>Efforts towards circular economy, by using recycled materials in shoe production (95% since 2021) Recyclable products released (eg. Nimbus Mirai)</p>     | <p>Targets a goal of 50% of used materials to be environmentally friendly.</p> <p>Increasing recyclability of products, changing 10 chemicals to cleaner alternatives in 2020.</p>         | <p>Use of recycled paper in packaged (since 2016)</p> <p>100% of cotton and 99% of leather sourced from ethically rated third-party sources.</p> | <p>Target goal of using 100% certified/recycled raw material sources for production,</p> <p>Development of products that promote circular economy, with 90% products made from recycled materials in 2024.</p> |
| <b>Disclosure</b>                     | <p>Sustainability reports released yearly.</p> <p>Lack of progress reporting towards achieving goals.</p> <p>Ranked in top 50% for Fashion Transparency Index.</p>                                                  | <p>Lack of information regarding material sourcing, inconsistent release of information (eg. 2025 they have not released environmental report)</p>                                         | <p>Publish breakdown of material consumption. Traceable progress reports accessible.</p>                                                         | <p>Sustainability statements released yearly.</p> <p>Lack of transparency in raw material sourcing in the supply chain.</p>                                                                                    |
| <b>Score</b>                          | 3                                                                                                                                                                                                                   | 3                                                                                                                                                                                          | 4                                                                                                                                                | 2                                                                                                                                                                                                              |
| <b>Social</b>                         |                                                                                                                                                                                                                     |                                                                                                                                                                                            |                                                                                                                                                  |                                                                                                                                                                                                                |
| <b>Workplace inclusion and safety</b> | <p>Monitoring factories in the supply chain for worker protection and sustainability standards. Emphasis on workplace mental health in the corporate work environment.</p> <p>Less extensive training programs.</p> | <p>Initiatives to work with suppliers and DEI leadership programs to ensure equity in the workplace.</p> <p>Efforts toward promoting gender equity in suppliers and safe environments.</p> | <p>Target goal of 50% of women in leadership positions by 2033. Diversity training programs, and DEI targets for hiring established.</p>         | <p>Efforts to empower women in supply chain, preventative training programs for sexual assault, auditing factories for safety and work hour monitoring.</p>                                                    |
| <b>Score</b>                          | 2.5                                                                                                                                                                                                                 | 3                                                                                                                                                                                          | 3                                                                                                                                                | 2.5                                                                                                                                                                                                            |
| <b>Governance</b>                     |                                                                                                                                                                                                                     |                                                                                                                                                                                            |                                                                                                                                                  |                                                                                                                                                                                                                |
| <b>Leadership and accountability</b>  | <p>Nomination and compensation committee in place with a healthy number of independent directors to ensure transparency. Less</p>                                                                                   | <p>Various audit committees (eg. Compensation, Corporate Responsibility Committee) to ensure transparency with strong disclosure of</p>                                                    | <p>Two-tier system in place, with supervisory board (consisting of 5 expert committees) determines executive board compensation, ensuring</p>    | <p>Two-tier system in place, including sustainability committee with sustainability-linked bonuses offered, incorporating ESG initiatives into their</p>                                                       |

|                   |                                                 |                                  |               |             |
|-------------------|-------------------------------------------------|----------------------------------|---------------|-------------|
|                   | incorporation of ESG initiatives in governance. | individuals in leadership roles. | transparency. | governance. |
| Score             | 3                                               | 3.5                              | 4             | 4           |
| Overall ESG score | 2.83                                            | 3.17                             | 3.67          | 2.83        |

## Appendix 6: SWOT Analysis

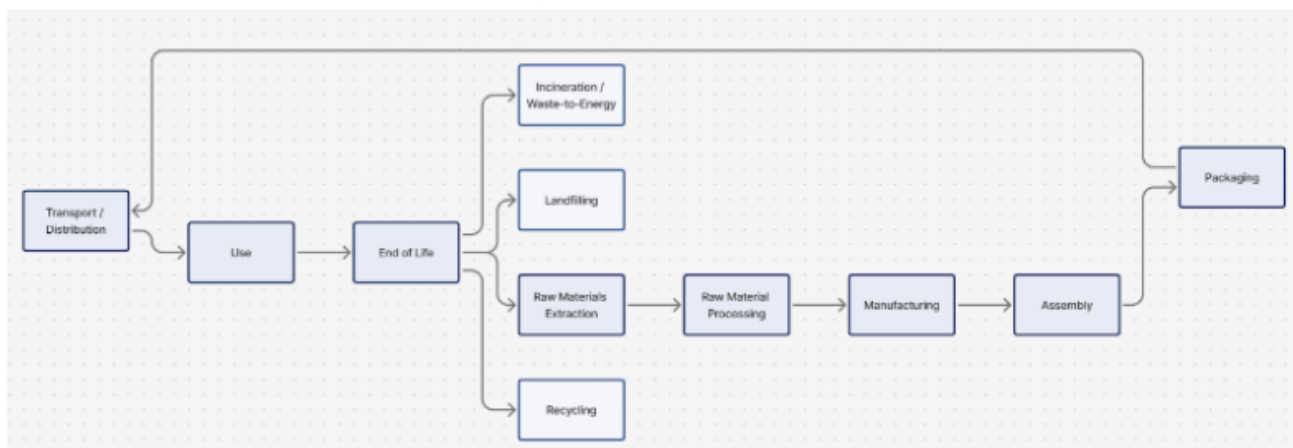


## Appendix 7: Competitor Technology and Digital Platforms

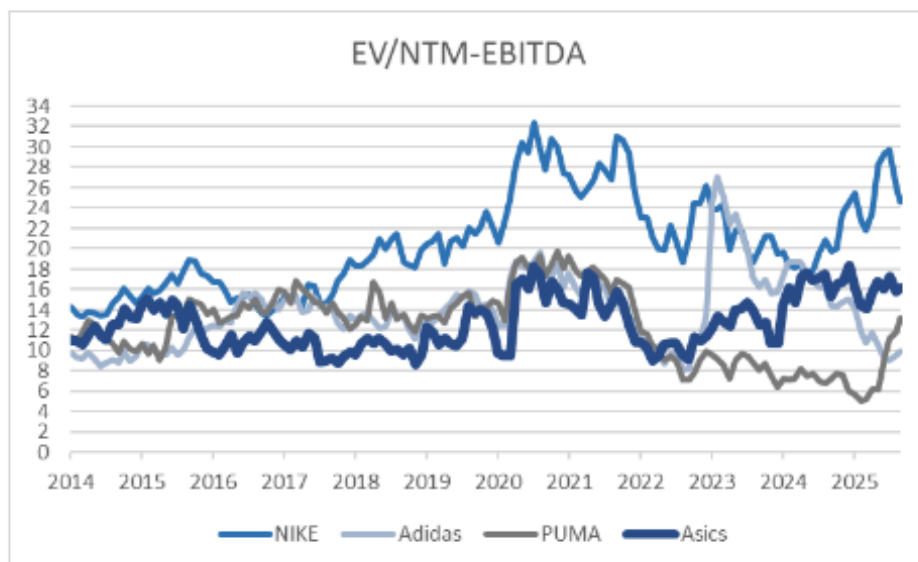
| Asics                                                                                                                                                                                                                                                                                                                                                           | Adidas                                                                                                                                                                                                                                                                                                                                                                                                | Puma                                                                                                                                                                                                                                                                                                                                                                                               | HOKA                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>GEL</b> (sole technology made from gel)</p> <p><b>FLYTE FOAM</b> (type of foam technology, lightweight, made for long distance running) (eg. FLYTEFOAM LYTE)</p> <p><b>GUIDESOLE</b> (rocker sole design, combining a thicker layer)</p> <p><b>TRISSTIC</b> (sole technology that is reinforced with carbon)</p>                                          | <p><b>Boost</b> (midsole made from expanded particles named Thermoplastic Polyurethane, include pockets of air in between the particles) – applicable to all types of weather</p> <p><b>Lightstrike Pro</b> (light weight midsole, made from two layers of foam)</p> <p><b>ENERGYRODS</b> (use rods that are infused with carbon, "engineers to mirror the metatarsal bones of an athlete's foot)</p> | <p><b>PROFOAM</b> (midsole cushion using a chemical, EVA)</p> <p><b>PWRPLATE</b> (technology using carbon fiber plate included in the midsole)</p> <p><b>NITRO/NITROFOAM</b> (foam that is infused with nitrogen to create a springy textured foam)</p> <p><b>XETIC</b> (cushioning technology, created using computers creating a geometric pattern, created through collaborations with MIT)</p> | <p>3 technologies used in every shoe they produce</p> <ol style="list-style-type: none"> <li>(1) <b>Active Foot Frame</b> (higher frames in the midsole walls to support the foot)</li> <li>(2) <b>MetaRocker</b> (the curved midsole that promotes a "rocking motion," making running smooth)</li> <li>(3) <b>Cushioned midsole</b> (bouncy sole technology)</li> </ol> <p>The use of thick soles make HOKA shoes particularly unique</p> |
| <p>Digital Technology</p> <p><b>ASICS Runkeeper App:</b> members can track runs, training plans.</p> <p><b>Runkeeper Go:</b> premium subscription based running app, 11.99 per month, access to prescribed workouts and "premium training plans"</p> <p>Free membership program: <b>OneASICS</b>, earn points through how many km run in the runkeeper app.</p> | <p>Digital Technology</p> <p><b>Adidas Running App:</b> fitness app that helps track runs, host run along, running stats, access to training plans</p> <p>Free membership program: <b>AdiClub</b>, rewards, voucher access</p>                                                                                                                                                                        | <p>Digital Technology</p> <p><b>PUMATRAC App:</b> video workouts, fitness, tracks running</p> <p>Free membership program: <b>PUMA member</b>, access to presale, discounts, rewards</p>                                                                                                                                                                                                            | <p>Digital Technology</p> <p>No directly owned fitness or running apps, only the HOKA App where consumers can buy products and find discounts. Can get access to HOKA membership which comes with promotions.</p> <p>3 tier membership program:</p> <ol style="list-style-type: none"> <li>(1) RUN free membership</li> <li>(2) SPRINT \$250, billed monthly</li> <li>(3) FLY \$500, billed monthly</li> </ol>                             |

| Sketchers                                                                                                                                                                                                                                                                                                                                                                                                                                     | Under Armour                                                                                                                                                                                                                                                                                                                                                                                                   | Mizuno                                                                                                                                                                                                                   | NIKE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Arch Fit</b> (insole system → provides cushioning and is removable)</p> <p><b>ULTRA Go Midsole</b> (cushioning system → light weight feature)</p> <p><b>Sketchers Slip-ins</b> (shoes that can be worn without the use of laces, main component in their lifestyle footwear lines)</p> <p><b>Resagrip</b> (outsole grip technology specifically designed for in-door basketball)</p> <p>Technology is primarily focused on comfort.</p> | <p><b>UA HOVR</b> (cushioning technology using foam and compressed fabric)</p> <p><b>UA TRIBase</b> (sole technology, designed for training)</p> <p>Under Armour has a lot of apparel technology:</p> <p><b>ColdGear</b> (fabric that keeps the warmth in)</p> <p><b>CoolSwitch</b> (fabric that takes the sweat away from the skin, cooling effect)</p> <p>Limited technology and small number of patents</p> | <p><b>MIZUNO WAVE</b> (core sole system)</p> <p><b>MIZUNO ENERGY</b> (material that is highly resistant)</p> <p><b>SMOOTHE SPEED ASSIST</b> (biometric technology to lessen the strain on ankle joints when running)</p> | <p><b>Zoom Air</b> (type of foam used in sole, using pressurized air packed in stretched fibers, meant to help reduce strain of joints and muscles)</p> <p><b>React X</b> (foam cushioning technology)</p> <p><b>Dynamic air</b> (air unit that is placed in the sole of the shoes with tubes that allow the flow of air in and out)</p> <p><b>Flyknit</b> (knitting technology that helps strengthen the fibers used in the shoe)</p> <p><b>Colordry</b> (a dying method that does not use water, sustainable way to dye fabric)</p> |
| <p>Digital Technology</p> <p>No directly owned fitness or running app.</p> <p>Free membership program: Skechers Plus, customers can collect rewards.</p>                                                                                                                                                                                                                                                                                      | <p>Digital Technology</p> <p>No directly owned fitness or running apps.</p> <p>As of 2024 sold <b>MapMyFitness</b> platform, their own fitness app, and <b>MyfitnessPal</b> which was their nutrition app was also sold to another company.</p> <p>Membership program: <b>UA rewards</b></p>                                                                                                                   | <p>Digital Technology</p> <p>No directly owned fitness or running apps.</p> <p>Free Membership program varying from region – <b>Club Mizuno</b></p>                                                                      | <p>Digital Technology</p> <p><b>The Nike Run Club App (NRC)</b> – access to guided runs, connect with other runners</p> <p>Separate fitness app – <b>Nike Training Club</b>, access to habit tracker, guided fitness videos, trainers, other wellness e.g. nutrition resources</p> <p>Free membership program: <b>Nike Member</b></p>                                                                                                                                                                                                 |

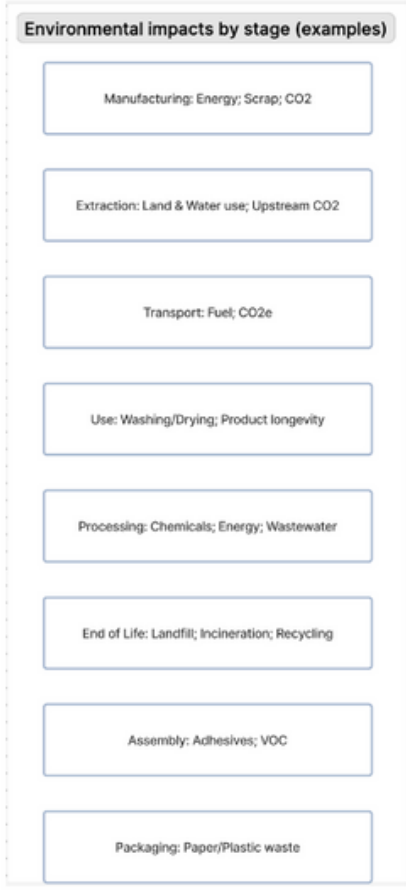
## Appendix 8: Footwear Life Cycle



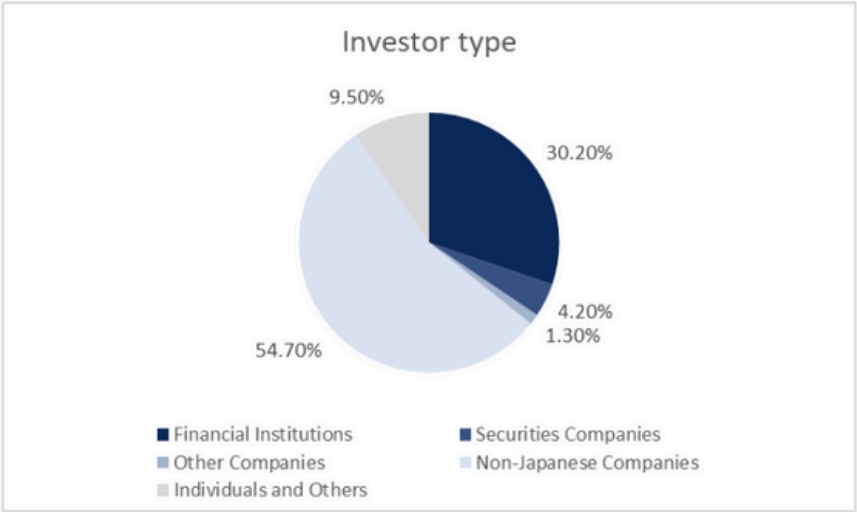
## Appendix 10: Historical EV/NTM EBITDA Multiple:



Appendix 9: Environmental Impacts By Cycle Stage

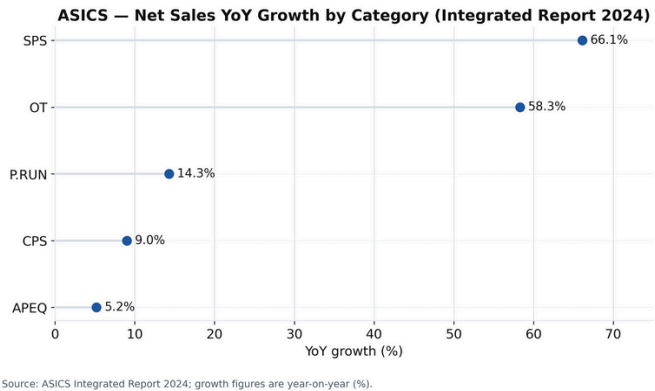
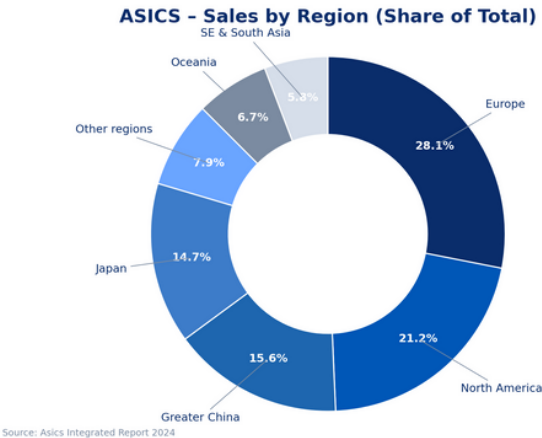


Appendix 12: Investor Type



Appendix 11: FCF Projection

| Unlevered Free Cash Flow (mm)            |       |       |       |       |       |       |       |       |       |       |       |       |       |
|------------------------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Fiscal Year                              | 2022A | 2023A | 2024A | 2025E | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E |
| Revenue                                  | 485   | 570   | 679   | 807   | 949   | 1,091 | 1,233 | 1,356 | 1,465 | 1,553 | 1,630 | 1,695 | 1,746 |
| COGS                                     | 243   | 273   | 299   | 347   | 405   | 464   | 520   | 571   | 617   | 652   | 685   | 704   | 725   |
| Gross Profit                             | 242   | 298   | 380   | 460   | 544   | 627   | 713   | 785   | 848   | 900   | 946   | 992   | 1,022 |
| Operating Expenses                       |       |       |       |       |       |       |       |       |       |       |       |       |       |
| Selling, General, Administrative         | 191   | 227   | 258   | 307   | 361   | 414   | 462   | 500   | 538   | 562   | 587   | 602   | 620   |
| Total Operating Expenses                 | 191   | 227   | 258   | 307   | 361   | 414   | 462   | 500   | 538   | 562   | 587   | 602   | 620   |
| EBITDA                                   | 50    | 71    | 121   | 153   | 183   | 214   | 250   | 285   | 311   | 338   | 359   | 390   | 402   |
| Depreciation & Amortization              | 16    | 17    | 21    | 16    | 17    | 18    | 19    | 20    | 20    | 21    | 21    | 21    | 21    |
| Operating Profit (EBIT)                  | 34    | 54    | 100   | 138   | 166   | 196   | 231   | 265   | 290   | 317   | 338   | 369   | 380   |
| Operating Taxes                          | 9     | 15    | 29    | 42    | 51    | 60    | 71    | 81    | 89    | 97    | 103   | 113   | 116   |
| NOPAT (Net Operating Profit After Taxes) | 25    | 39    | 71    | 96    | 115   | 136   | 160   | 184   | 201   | 220   | 234   | 256   | 264   |
| (+) Depreciation & Amortization          | 16    | 17    | 21    | 16    | 17    | 18    | 19    | 20    | 20    | 21    | 21    | 21    | 21    |
| (-) Capital Expenditures                 | 13    | 16    | 26    | 26    | 27    | 24    | 26    | 27    | 27    | 27    | 28    | 28    | 29    |
| (-) Change in NWC                        | 53    | (27)  | (3)   | 13    | 12    | 6     | (0)   | 5     | 6     | 8     | 7     | 5     | 5     |
| NWC                                      | 130   | 103   | 100   | 112   | 125   | 131   | 130   | 136   | 142   | 150   | 157   | 162   | 167   |
| Current Assets                           | 229   | 210   | 242   | 282   | 326   | 365   | 402   | 434   | 464   | 491   | 516   | 533   | 549   |
| Current Liabilities                      | 99    | 107   | 143   | 170   | 201   | 235   | 272   | 298   | 322   | 341   | 358   | 371   | 382   |
| Unlevered Free Cash Flow                 | (24)  | 67    | 70    | 72    | 93    | 124   | 154   | 172   | 189   | 206   | 220   | 244   | 252   |



## Appendix 13: Key Assumptions

### 1. Region / Category / Channel Sales

We forecast revenue bottoms-up by region and product category, closely aligned with management's operating lens. Japan: core domestic base + inbound consumption; North America: run-specialty wholesale strength, targeted DTC SKU simplification; Europe: SportStyle compatible with running culture; Greater China + Southeast/South Asia: Tiger brand power + localized performance running. We also incorporate the H2 product cadence (METASPEED EDGE/SKY TOKYO in July; METASPEED RAY in August; BOUNCE series in September), and a full-price sell-through improvement under discount governance. Overall, we model 2024–2025 double-digit growth normalizing to high single digits. This path aligns with management's 7–10% CAGR range while accounting for the post-2024 high base uplift into 2025.

### 2. ASP / Product Mix / New Product Cycle

Average selling price (ASP) and mix are key drivers. We assume Asics raises realized ASP through product upgrades and mix (high-end running, SportStyle/Tiger) and through higher full-price sell-through (lower discount rates as inventory management improves). We apply different growth rates by category: Performance Running: Asics's core revenue source (~48% of 2023 sales). We expect the franchise to keep outgrowing the market via innovation and elite-race validation. In Japan and Europe, we model steady growth; in North America and Greater China, we expect share gains from run-specialty and localized development (shorter dev-to-launch cycle). In the base case we assume a mid-single-digit CAGR to 2025; given pipeline visibility (METASPEED/BOUNCE), we are confident Asics can achieve above-industry growth abroad (category CAGR ~5–6% through 2025 in the model). Core Performance Sports: Includes tennis, volleyball, wrestling and other sport-specific footwear/equipment. 2023 growth was healthy with new-product cycles and broader participation. We forecast steady growth tied to participation and athlete endorsements. Asics leads in certain niches (e.g., volleyball), and we expect it to outperform the industry via line extensions; however, given resource focus on running, we do not assume explosive growth. SportStyle: A strong segment in recent years (~10% of 2023 revenue, +36% YoY). We forecast mid-to-high-teens growth over the next 2–3 years as fashion cycles and 2000s retro continue to resonate. With lower R&D needs and higher full-price sell-through, margins are excellent; expansion here lifts both revenue and profit. Onitsuka Tiger: Asics's high-end fashion brand (~11% of 2023 revenue, +40% YoY). We expect continued domestic/inbound demand in Japan and a focus on EU/China tier-1 cities via self-operated flagships (e.g., Paris Champs-Élysées in 2025/7). With curated assortments and celebrity collaborations, we see sustained high ASP and strong productivity. Demand is supply-constrained and a top investment priority. We assume Tiger's high growth persists through the mid-term, becoming a key driver of group sales and margin. Apparel & Equipment: Smaller contribution (~6% in 2023) with limited historical profitability. Recent optimization has improved SKU efficiency and contribution. We forecast modest improvement from line rationalization and scale, but overall margin stays lower and does not materially pull up the group margin.

### 3. Gross Margin Bridge

In our model, group gross margin rises from ~52.0% in 2023 to the ~57% by 2025 and the upper-58.5% thereafter, supported by: (1) price/mix uplift from flagship running shoes and SportStyle/Tiger; (2) channel mix/discount governance (higher DTC/flagship share, lower markdowns); and (3) logistics/tariff relief from supply-chain normalization and footprint adjustments (Vietnam/Cambodia for exports; China plants serving domestic demand to avoid U.S. import tariffs). Historical data and management guidance support this step-up trajectory and why management is confident about record profitability in 2025.

### 4. Operating Expenses (SG&A)

We link S&M to sales with a mild downward trajectory as OneAsics membership and personalization improve conversion and reduce broad-based spend; G&A scales with growth but remains disciplined; R&D ties to product cadence. Net effect: operating leverage increases without starving the brand, consistent with post-2019 reforms. On operating expenses, we assume Asics keeps the post-2019 cost discipline and captures economies of scale as sales grow. In the model we treat SG&A as a percent of revenue with a mild downward drift driven by membership-led marketing efficiency (OneAsics), a stable G&A base, and targeted R&D around running franchises. We do not assume an aggressive cut in brand investment; instead, we rely on better targeting and mix to maintain growth while improving operating leverage. Together with gross-margin expansion, this dual effect lifts operating margin from 9.5% in 2023 to 17%+ by 2025, attaining management's 17% mid-term objective.

### 5. Working Capital

We forecast inventory days (DIO) to decline gradually thanks to SKU governance, seasonal clearance rules (especially in Q4), global demand/supply dashboards (from 2025 SS), and faster wholesale/line-review cycles. DSO/DPO remain in historical bands by channel and supplier terms to avoid over-optimism. We set a CCC convergence path that reaches steady-state by the terminal period so free cash is smooth and defensible. On working capital, we assume continued turnover improvements to release free cash. Inventory days (DIO) decline gradually from ~170 days in 2023 to ~145 days by 2028, and ~140 by 2030, reflecting better demand planning, tighter discount governance in Q4 "clearance" seasons, and faster replenishment cadence based on a unified global system.

### 6. CapEx vs D&A

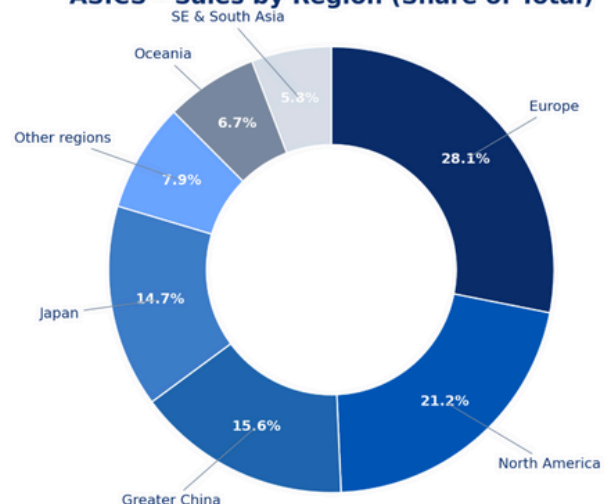
CapEx is tied to the expansion program and history. 2024–2025 is investment-heavy (flagships/refresh, digital/CRM, logistics); 2026+ normalizes toward maintenance. We keep the long-term identity maintenance CapEx ≈ D&A, so after the catch-up phase, ongoing needs are covered by recurring depreciation. This capital-allocation path means more FCFF post-expansion without extra leverage. On CapEx and depreciation, we tie assumptions to the expansion plan and history. We keep a relatively high CapEx in 2024-2025 at ~3% of sales (digital/membership stack, logistics, selective flagship/refresh), then normalize toward maintenance levels thereafter. D&A follows the asset pool and new CapEx amortization with a lag; long-term, maintenance CapEx ≈ D&A

### 7. Tax

We use a 30.62% effective tax rate as the base across years, consistent with Japan's statutory environment and company disclosures. Stable ETR helps reconcile forecasts to the base year and avoids over-engineering tax detail.

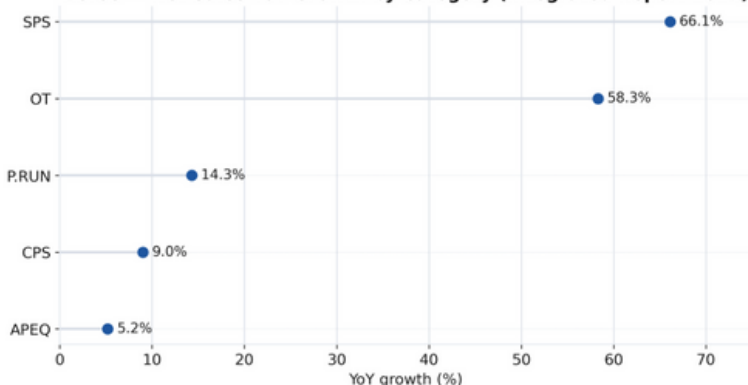
## Appendix 15

### ASICS - Sales by Region (Share of Total)



## Appendix 14

### ASICS — Net Sales YoY Growth by Category (Integrated Report 2024)



Source: ASICS Integrated Report 2024; growth figures are year-on-year (%).

Source: Asics Integrated Report 2024

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